



CHAPTER 54.

An Act to grant certain duties of Customs and Inland Revenue (including Excise), to alter other duties, and to amend the law relating to Customs and Inland Revenue (including Excise) and the National Debt, and to make further provision in connection with finance. A.D. 1937.

[30th July 1937.]

Most Gracious Sovereign,

WE, Your Majesty's most dutiful and loyal subjects the Commons of the United Kingdom in Parliament assembled, towards raising the necessary supplies to defray Your Majesty's public expenses, and making an addition to the public revenue, have freely and voluntarily resolved to give and grant unto Your Majesty the several duties hereinafter mentioned; and do therefore most humbly beseech Your Majesty that it may be enacted, and be it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows :—

PART I.

CUSTOMS AND EXCISE.

1.—(1) The duties of customs chargeable by virtue of subsection (1) of section two of the Finance Act, 1933, on hops, hop oil and extracts, essences or other similar

Continuation of duty on hops, &c., and of

A.D. 1937. preparations made from hops, and the additional duty of customs chargeable under subsection (2) of that section in respect of beer, shall continue to be charged until the end of the fifteenth day of August, nineteen hundred and forty-one.

PART I.

—cont.

additional
duty and
drawback
on beer.

23 & 24

Geo. 5. c. 19.

(2) The additional excise drawback allowed in respect of beer under subsection (4) of the said section two shall continue to be allowed until the end of the fifteenth day of November, nineteen hundred and forty-one.

Extension
of period of
stabilisation
of rates of
Imperial
preference.

16 & 17

Geo. 5. c. 22.

26 Geo. 5. &

1 Edw. 8.

c. 34.

2. Subsection (1) of section seven of the Finance Act, 1926, (which, as extended by section four of the Finance Act, 1936, provides for the stabilisation of rates of Imperial preference during a period ending on the nineteenth day of August, nineteen hundred and thirty-seven) shall have effect as if the said period were extended by one year; and accordingly subsection (1) of the said section four shall be amended by substituting the words "nineteen hundred and thirty-eight" for the words "nineteen hundred and thirty-seven".

Provisions
for fulfilling
agreement
with
Canada.

3.—(1) The following provisions of this section shall have effect with a view to the fulfilment of the agreement made on the twenty-third day of February, nineteen hundred and thirty-seven, between His Majesty's Government in the United Kingdom and His Majesty's Government in the Dominion of Canada, being the agreement set out in the First Schedule to this Act.

22 & 23

Geo. 5. c. 53.

(2) As from such date as the Treasury may by order declare to be the date on which it has been mutually agreed under article seventeen of the said agreement that that agreement shall come into force, the Ottawa Agreements Act, 1932, and any other enactment relating to customs which amends or relates to that Act, shall have effect as if the said agreement were substituted for the agreement set out in Part I of the First Schedule to that Act.

(3) The following provisions shall have effect as respects the preferential rate of any new duties of customs for the time being chargeable under section nine of the Finance Act, 1933, on articles being stockings or socks made wholly of silk or containing silk components the value whereof exceeds twenty per cent. of the aggregate.

of the values of all the components thereof, and being A.D. 1937.
Empire products:—

PART I.
—cont.

(a) for the purposes of this subsection—

- (i) the expression “the existing preferential rate” means the preferential rate provided in subsection (5) of the said section nine; and
 - (ii) the expression “the agreed preferential rate” means whichever is the higher of the following rates, namely, twenty-eight and eight-ninths per cent. of the value of the article or eight shillings per pound weight;
- (b) if only one duty is for the time being chargeable as aforesaid on any such article, the duty shall be chargeable on the article either at the agreed preferential rate or at the existing preferential rate, whichever is the lower;
- (c) if two or more duties are for the time being so chargeable on any such article, the aggregate amount thereof payable in respect of the article shall not exceed whichever of the two following amounts is the less, namely, the aggregate amount of those duties which would be so payable if they were charged at the existing preferential rate or the amount of duty which would be so payable if a single duty were charged at the agreed preferential rate;
- (d) if at any time the Treasury are satisfied that none of the scheduled agreements for the time being in force would be contravened if the operation of paragraphs (b) and (c) of this subsection were suspended, the Treasury shall by order direct that the operation thereof shall be suspended so long as the order remains in force, but any such order shall be revoked if and when the Treasury are satisfied that any such agreement is being contravened by reason of the order;
- (e) in relation to any such articles manufactured in a country the Government of which is a party to one of the scheduled agreements, the provisions of paragraphs (b) and (c) of this subsection shall not in any case have effect at any time when that agreement is not in force.

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PART I.

—cont.

15 & 16

Geo. 5. c. 36.

(4) The duty of customs chargeable under section three of the Finance Act, 1925, shall not be charged on reed organs (including harmoniums) imported complete, being Empire products:

Provided that—

(a) if at any time the Treasury are satisfied that none of the scheduled agreements for the time being in force would be contravened if the foregoing provisions of this subsection were suspended, the Treasury shall by order direct that those provisions shall be suspended so long as the order remains in force, but any such order shall be revoked if and when the Treasury are satisfied that any such agreement is being contravened by reason of the order; and

(b) in relation to any such organ manufactured in a country the Government of which is a party to one of the scheduled agreements, the said provisions of this subsection shall not in any case have effect at any time when that agreement is not in force.

(5) The last two foregoing subsections shall be deemed to have had effect as from the twenty-first day of April, nineteen hundred and thirty-seven.

(6) Section five of the Ottawa Agreements Act, 1932, shall cease to have effect.

(7) This section shall be construed as one with the Ottawa Agreements Act, 1932, and the enactments amending that Act.

Provisions
as to ex-
emption of
sculptures,
&c. from
import
duties.
22 & 23
Geo. 5. c. 8.

4.—(1) Any order made by the Treasury under subsection (3) of section one of the Import Duties Act, 1932, directing that works of art to which this section applies, or any class or description thereof, shall be added to the First Schedule to that Act, may provide that no article shall be exempt from duty as being a work of art of a class or description to which the order relates unless it is certified by or on behalf of the director of a museum or gallery specified in the order, being a museum or gallery the expenses of which are defrayed out of moneys provided by Parliament, to be a work of art of that class or description.

(2) Any such order may further contain provisions—

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(a) as to the form of the certificates to be issued thereunder, as to the form and manner in which applications therefor are to be made, and as to the particulars and documents to be furnished with any such application;

PART I.
—cont.

(b) as to the number of replicas or impressions of the same article in respect of which such certificates may be issued;

(c) as to the place in which any article, in respect of which exemption is claimed under the order, is to be deposited and kept pending the production of such a certificate or payment of duty, as to the conditions on which an article is to be so deposited, and as to the sale or disposal of an article so deposited in the event of failure to produce the certificate or pay the duty.

(3) The expenses of the director of any museum or gallery under any such order shall be defrayed out of moneys provided by Parliament.

(4) The works of art to which this section applies are sculptures, whether in the round, in relief or in intaglio, and engraved or etched blocks, plates or other material and impressions thereof.

5.—(1) The duty of excise chargeable under the Revenue Act, 1869, in respect of male servants shall cease to be chargeable, and no licence shall be required to be taken out under that Act in respect of the employment of a male servant :

Repeal of
male ser-
vant duty,
and effect
thereof on
game licence
duty.
32 & 33 Vict.
c. 14.
23 & 24 Vict.
c. 90.

Provided that nothing in the foregoing provisions of this subsection shall affect the rate of the duty chargeable under the Game Licences Act, 1860, in respect of licences to kill game taken out or renewed on behalf of servants employed as gamekeepers, and accordingly the provisions of that Act set out in the first column of the Second Schedule to this Act shall be amended in the manner shown in the second column of that Schedule.

(2) No licence to kill game shall be taken out or renewed by any person under the Game Licences Act, 1860, on behalf of a servant employed as a gamekeeper unless that person has signed and delivered to the officer issuing or renewing the licence a declaration in writing in

A.D. 1937. such form and containing such particulars as may be prescribed by the Treasury, and, if any person makes a statement which he knows to be false in any such declaration, he shall be liable to an excise penalty of twenty pounds.

PART I.
—cont.

(3) This section shall come into operation on the first day of January, nineteen hundred and thirty-eight.

Regulation
of sale of
sweets by
holders of
off-licences.
10 Edw. 7. &
1 Geo. 5.
c. 8.

6.—(1) The provisions applicable to retailers' off-licences in the First Schedule to the Finance (1909–10) Act, 1910, shall be amended by inserting at the end thereof the following paragraph :—

“ 4. A person holding the off-licence to be taken out by a retailer of wine or the off-licence to be taken out by a retailer of sweets may not sell sweets in open vessels.”

(2) This section shall come into operation on the first day of October, nineteen hundred and thirty-seven.

Amendment
as to un-
laden
weight of
goods
vehicles.
10 & 11
Geo. 5. c. 18.

7.—(1) For the purpose of paragraph 5 of the Second Schedule to the Finance Act, 1920, the unladen weight of a goods vehicle shall be taken to include the weight of any receptacle, being an additional body, placed on the vehicle for the purpose of the carriage of goods or burden of any description, if any goods or burden are loaded into, carried in and unloaded from the receptacle without the receptacle being removed from the vehicle :

Provided that the weight of a receptacle shall not be included in the unladen weight of a goods vehicle by virtue of this section—

(a) unless the receptacle is placed on the vehicle by or on behalf of the person in whose name the vehicle is registered under the Roads Act, 1920; or

(b) if the receptacle is constructed or adapted for the purpose of being lifted on or off the vehicle with goods or burden contained therein.

(2) This section shall come into operation on the first day of January, nineteen hundred and thirty-eight.

Reduction
of duty on
certain
tricycles.

8.—(1) The rate of the duty chargeable in respect of tricycles under section thirteen of the Finance Act, 1920, shall, in the case of tricycles neither constructed nor adapted for use nor used for the carriage of a driver

or passenger, be reduced to two pounds; and accordingly the following sub-paragraph shall be substituted for sub-paragraph (c) of paragraph 1 of the Second Schedule to that Act—

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PART I.
—*cont.*

“(c) tricycles—

neither constructed nor adapted for use
nor used for the carriage of a driver
or a passenger - - - - - £2

other tricycles - - - - - £4”

(2) This section shall come into operation on the first day of January, nineteen hundred and thirty-eight.

9.—(1) Vehicles to which this section applies, and which are chargeable with duty under sub-paragraph (c) of paragraph 5 of the Second Schedule to the Finance Act, 1920, shall be chargeable thereunder at the rates applicable to electrically propelled vehicles, whether they are so propelled or not.

Reduction
of duty on
tower
wagons.

(2) The vehicles to which this section applies are goods vehicles—

- (a) which are used for the purposes of an electricity undertaking, gas undertaking or electric transport undertaking, and for no other purpose; and
- (b) into which there is built, as part of the vehicle, a telescopic contrivance designed for facilitating the erection, inspection, repair or maintenance of overhead structures or equipment; and
- (c) which are neither constructed nor adapted for use nor used for the conveyance of any load except such a contrivance and articles used in connection therewith.

(3) In this section the expression “electricity undertaking” means an undertaking for supplying electricity or for supplying light by means of electricity, the expression “gas undertaking” means an undertaking for supplying gas or for supplying light by means of gas, and the expression “electric transport undertaking” means an undertaking for supplying transport by means of electrically propelled vehicles.

(4) This section shall come into operation on the first day of January, nineteen hundred and thirty-eight.

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PART II.

INCOME TAX.

Income tax for 1937-38. **10.**—(1) Income tax for the year 1937-38 shall be charged at the standard rate of five shillings in the pound, and, in the case of an individual whose total income exceeds two thousand pounds, at such higher rates in respect of the excess over two thousand pounds as Parliament may hereafter determine.

(2) All such enactments as had effect with respect to the income tax charged for the year 1936-37 shall have effect with respect to the income tax charged for the year 1937-38.

Higher rates of income tax for 1936-37.

11. Income tax for the year 1936-37 in respect of the excess of the total income of an individual over two thousand pounds shall be charged at rates in the pound which respectively exceed the standard rate by amounts equal to the amounts by which the rates at which income tax was charged in respect of the said excess for the year 1935-36 respectively exceeded the standard rate for that year.

Prevention of avoidance of tax by certain transactions in securities.

12.—(1) Where the owner of any securities (in this and the next following subsection referred to as "the owner") agrees to sell or transfer those securities, and by the same or any collateral agreement—

(a) agrees to buy back or re-acquire the securities;
or

(b) acquires an option, which he subsequently exercises, to buy back or re-acquire the securities;

then, if the result of the transaction is that any interest becoming payable in respect of the securities is receivable otherwise than by the owner, the following provisions shall have effect—

(i) the interest payable as aforesaid shall, whether it would or would not have been chargeable to tax apart from the provisions of this section, be deemed for all the purposes of the Income

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PART II.

—cont.

Tax Acts to be the income of the owner and not to be the income of any other person; and

- (ii) if the securities are of such a character that the interest payable in respect thereof may be paid without deduction of tax, the owner shall be chargeable to tax at the standard rate under Case VI of Schedule D in respect of the interest which is deemed to be his income as aforesaid, unless he shows that it has borne tax at the standard rate.

(2) The references in the last foregoing subsection to buying back or re-acquiring the securities shall be deemed to include references to buying or acquiring similar securities, so, however, that where similar securities are bought or acquired, the owner shall be under no greater liability to tax than he would have been under if the original securities had been bought back or re-acquired.

(3) Where any person carrying on a trade which consists wholly or partly in dealing in securities agrees to buy or acquire any securities, and by the same or any collateral agreement—

- (a) agrees to sell back or re-transfer the securities;
or
(b) acquires an option, which he subsequently exercises, to sell back or re-transfer the securities;

then, if the result of the transaction is that any interest becoming payable in respect of the securities is receivable by him, no account shall be taken of the transaction in computing for any of the purposes of the Income Tax Acts the profits arising from or loss sustained in the trade.

(4) The last foregoing subsection shall have effect, subject to any necessary modifications, as if references to selling back or re-transferring the securities included references to selling or transferring similar securities.

(5) This section shall not apply to any transaction where the relevant agreements were made before the sixth day of April, nineteen hundred and thirty-seven.

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PART II.
—cont.

(6) For the purpose of this section—

- (a) the expression “interest” includes a dividend;
- (b) the expression “securities” includes stocks and shares;
- (c) securities shall be deemed to be similar if they entitle their holders to the same rights against the same persons as to capital and interest and the same remedies for the enforcement of those rights, notwithstanding any difference in the total nominal amounts of the respective securities or in the form in which they are held or the manner in which they can be transferred.

(7) The Commissioners of Inland Revenue may by notice in writing require any person to furnish them within such time as they may direct (not being less than twenty-eight days), in respect of all securities of which he was the owner at any time during the period specified in the notice, such particulars as they consider necessary for the purposes of this section and for the purpose of discovering whether tax has been borne in respect of the interest on all those securities, and, if that person without reasonable excuse fails to comply with the notice, he shall be liable to a penalty not exceeding fifty pounds and after judgment has been given for that penalty to a further penalty of the like amount during every day on which the failure continues.

Amend-
ment as to
relief in
respect of
losses.
8 & 9 Geo. 5.
c. 40.

13. For the purposes of section thirty-four of the Income Tax Act, 1918 (which relates to relief in respect of certain losses) the amount of a loss sustained in a trade shall, in all cases, be computed in like manner as the profits or gains arising or accruing from the trade are computed under the rules applicable to Case I of Schedule D:

Provided that—

- (a) nothing in this section shall affect the provisions of paragraph (2) of Rule 15 of the Rules applicable to Cases I and II of Schedule D (which relates to losses of assurance companies carrying on life assurance business); and

- (b) where relief is claimed by virtue of this section in respect of a loss sustained in a trade which consists wholly or partly in dealing in securities, section twelve of this Act shall apply, for the purpose of computing the amount of the loss, as if subsection (5) thereof were omitted therefrom.

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PART II.
—cont.

14.—(1) Notwithstanding anything in subsection (6) of section twenty-one of the Finance Act, 1922, a company which is deemed for the purposes of that subsection to be under the control of not more than five persons shall not be deemed to be a subsidiary company, unless it can be deemed to be under the control of not more than five persons only by including among the persons mentioned in paragraph (a), (b) or (c) of subsection (1) of section nineteen of the Finance Act, 1936, or in subsection (3) of section twenty of that Act, a company to which the provisions of the said section twenty-one do not apply and which is not the nominee of any other person.

Amend-
ments of
12 & 13
Geo. 5. c. 17,
s. 21.

(2) In the case of a company to which section twenty-one of the Finance Act, 1922, applies, being an investment company, the following provisions shall have effect:—

- (a) the Special Commissioners may, if they think fit, give a direction under subsection (1) of that section if it appears to them that the company has not within any year of assessment distributed to its members, in such manner as to render the amount distributed liable to be included in the statements to be made by the members of the company of their total income for the purposes of surtax, a reasonable part of its actual income from all sources for that year;
- (b) in determining for the purpose of this subsection whether the company has or has not distributed as aforesaid a reasonable part of its actual income from all sources for any year of assessment, the Special Commissioners shall deem all the said income to have become available for distribution as soon as it became due and payable to the company;
- (c) where an order has been made or a resolution passed for the winding up of the company, the

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PART II.
—cont.

Special Commissioners may, if they think fit, treat either of the following periods, that is to say,—

(i) the period from the end of the last year or other period for which accounts of the company have been made up to the date of the order or resolution; or

(ii) the period from the end of the last year of assessment to the date of the order or resolution;

as if it were a year of assessment for the purposes of this subsection;

(d) for the purposes of this subsection, the provisions of section twenty-one of the Finance Act, 1922, and any other enactment relating thereto shall apply as if a year of assessment, or a period which by virtue of this subsection is treated as a year of assessment, were a year or period for which accounts of the company have been made up, but subject to the modifications set out in the Third Schedule to this Act.

(3) Where a direction is given under subsection (1) of section twenty-one of the Finance Act, 1922, with respect to an investment company, the Special Commissioners, in determining the respective interests of the members for the purpose of apportioning income in accordance therewith under paragraph 8 of the First Schedule to that Act, may, if it seems proper to them so to do, attribute to each member an interest corresponding to his interest in the assets of the company available for distribution among the members in the event of a winding up.

(4) In this section and in any other provisions of this or any other Act relating to section twenty-one of the Finance Act, 1922, the expression “investment company” shall have the same meaning as in section twenty of the Finance Act, 1936, and any references to the date of the order or resolution for the winding up of a company shall be construed—

(a) in the case of a company within the meaning of the Companies Act, 1929, or the Companies Act (Northern Ireland), 1932, as references to

the time of the commencement of the winding up; and A.D. 1937.

- (b) in the case of any other body corporate, as references to the time of the making of the order, or of the passing of the resolution, or of the signing of the instrument, or of the making of the application, or of the doing of the act, as the case may be, which initiates the winding up of the body corporate.

PART II.
—cont.

(5) The provisions of this section shall have effect for the purposes of assessment to surtax for the year 1935–36 and subsequent years :

Provided that the provisions of subsection (2) of this section shall not have effect for the purposes of assessment to surtax for the year 1935–36 in relation to any company which before the twenty-first day of April, nineteen hundred and thirty-seven, made up accounts for a period ending in the year 1935–36.

15.—(1) In computing for any year of assessment the amount of profits or gains arising or accruing from any trade the profits of which are chargeable to tax under Case I of Schedule D, there shall be allowed a deduction of an amount hereafter provided in respect of the depreciation of any premises being mills, factories or other similar premises, wherever situate, which, during the period of computation, are owned by the person carrying on the trade and occupied by him for the purposes thereof.

Allowance
for depre-
ciation of
mills,
factories,
&c.

(2) Where the premises—

- (a) are assessable to tax under No. I of Schedule A ;
and
(b) do not consist of or comprise electricity works
or brickworks ;

the amount of the deduction to be allowed under this section shall be an amount equal to the repairs allowance of the premises, or an amount equal to the appropriate fraction of the rating value of the premises, whichever is the less ; and for the purposes of this subsection the appropriate fraction of the rating value shall be taken to be, in the case of premises situate in the administrative county of London or in Scotland, one-sixth, and, in the case of other premises, one-fifth, of the rating value.

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PART II.
—cont.

(3) Where the premises—

(a) are not assessable to tax under No. I of Schedule A; or

(b) consist of or comprise electricity works or brickworks;

the amount of the deduction to be allowed under this section shall be an amount equal to one per cent. of the actual cost to the person carrying on the trade of any building (including the site thereof) which forms part of the premises, being either—

(i) a building which contains, and is used wholly or mainly for the purpose of operating, machinery worked by steam, electricity, water or other mechanical power; or

(ii) a building the depreciation of which is substantially increased by the operation of machinery so worked on the premises in any such building as is mentioned in paragraph (i) of this subsection :

Provided that no non-rateable machinery within the meaning of section twenty-two of the Finance Act, 1936, shall be deemed to form part of a building for the purpose of this subsection.

(4) Where the period of computation is less than twelve months, or the premises are not owned by the person carrying on the trade and occupied by him for the purposes thereof for the whole of the period of computation, the deduction to be allowed under the foregoing provisions of this section shall be proportionately reduced; and where in the course of the period of computation there has been any alteration of the premises, or of the repairs allowance or rating value thereof, the amount of the deduction to be allowed under this section shall be the aggregate of the amounts of the deductions which would have been allowable thereunder if each part of the period of computation, before and after the alteration, had itself been a period of computation.

(5) A person occupying any premises as the tenant thereof shall be treated for the purposes of this section as if he were the owner thereof if, under the covenants to repair contained in the lease or agreement by virtue of which he occupies the premises, the whole of the burden of any depreciation of the premises falls upon him.

(6) For the purpose of this section—

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(a) the expression “electricity works” means any building in which electrical energy is generated, converted or transformed for supply by way of trade;

PART II.
—cont.

(b) the expression “period of computation”, in relation to any trade, means the period by reference to the profits or gains of which the profits or gains arising or accruing from the trade are to be computed for the year of assessment in question;

(c) the expression “rating value” in relation to any premises, means—

(i) in the case of premises situate in England outside the administrative county of London, the net annual value of the premises as appearing in the valuation list for the time being in force under the Rating and Valuation Act, 1925;

15 & 16
Geo. 5. c. 90.

(ii) in the case of premises situate in the administrative county of London, the gross value of the premises as appearing in the valuation list for the time being in force under the Valuation (Metropolis) Act, 1869;

32 & 33 Vict.
c. 67.

(iii) in the case of premises situate in Scotland, the gross annual value of the premises as appearing in the valuation roll for the time being in force under the Rating (Scotland) Act, 1926;

16 & 17
Geo. 5. c. 47.

(iv) in the case of premises situate in Northern Ireland, the net annual value of the premises as shown in the valuation lists for the time being in force under the Valuation Acts (Northern Ireland), 1852 to 1932, or in any provisional or revised valuation for the time being in force by virtue of any enactment pending the annual revision of valuation under the said Acts;

(d) the expression “repairs allowance”, in relation to any premises, means the reduction authorised in respect of the premises for the purposes of Rule 7 of No. V of Schedule A.

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PART II.

—cont.

9 & 10

Geo. 5. c. 32.

Continuance
of allowancefor repairs
under

13 & 14

Geo. 5. c. 14,

s. 28.

25 & 26

Geo. 5. c. 24.

(7) The proviso to paragraph (2) of Rule 5 of the rules applicable to Cases I and II of Schedule D, and section eighteen of the Finance Act, 1919, shall cease to have effect.

16.—(1) Section twenty-eight of the Finance Act, 1923 (which relates to the allowance for repairs and which was continued in force by section twenty-four of the Finance Act, 1935, until the fifth day of April, nineteen hundred and thirty-seven) shall continue in force until the fifth day of April, nineteen hundred and forty-two.

(2) This section shall be deemed to have had effect as from the sixth day of April, nineteen hundred and thirty-seven.

Amendment
as to allow-
ance in
respect of
earned
income of
wives.

17. For the purposes of subsection (2) of section eighteen of the Finance Act, 1920 (which provides for an increased personal allowance to a claimant whose total income includes earned income of his wife) any earned income of the claimant's wife arising in respect of any pension, superannuation or other allowance, deferred pay, or compensation for loss of office, given in respect of his past services in any office or employment of profit, shall be deemed not to be earned income of his wife.

Amend-
ment as to
discount on
tax paid in
advance.

18. Section one hundred and fifty-nine of the Income Tax Act, 1918 (which provides for an allowance of discount on tax paid in advance under Schedule D), shall be amended by inserting at the end thereof the following subsection :—

“(2) The Commissioners of Inland Revenue may, on application made to them in writing within one month from the date of such a payment in advance by any person, repay to him the amount of any allowance which might have been made to him under this section if he had made a request therefor at the time of the payment.”

PART III.

NATIONAL DEFENCE CONTRIBUTION.

Charge of
national
defence
contribu-
tion.

19.—(1) There shall be charged, on the profits arising in each chargeable accounting period falling within the five years beginning on the first day of April, nineteen hundred and thirty-seven, from any trade or

business to which this section applies, a tax (to be called the "national defence contribution") of an amount equal to five per cent. of those profits in a case where the trade or business is carried on by a body corporate and four per cent. of those profits in any other case.

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PART III.
—cont.

(2) Subject as hereafter provided, the trades and businesses to which this section applies are all trades or businesses of any description carried on in the United Kingdom, or carried on, whether personally or through an agent, by persons ordinarily resident in the United Kingdom.

(3) The carrying on of a profession by an individual or by individuals in partnership shall not be deemed to be the carrying on of a trade or business to which this section applies if the profits of the profession are dependent wholly or mainly on his or their personal qualifications:

Provided that for the purpose of this subsection the expression "profession" does not include any business consisting wholly or mainly in the making of contracts on behalf of other persons or the giving to other persons of advice of a commercial nature in connection with the making of contracts.

(4) Where the functions of a company or society incorporated by or under any enactment consist wholly or mainly in the holding of investments or other property, the holding of the investments or property shall be deemed for the purpose of this section to be a business carried on by the company or society.

(5) This section shall not apply to any trade or business carried on by statutory undertakers and consisting wholly or mainly in the rendering in the United Kingdom or a Dominion as defined in section twenty-seven of the Finance Act, 1920, of any of the following services, namely:—

- (a) the supply of water, gas, electricity or hydraulic power;
- (b) the provision or maintenance of a canal or other inland waterway, or a harbour, dock, quay, pier, road, bridge, ferry or tunnel;
- (c) the conservancy of a river;

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PART III.
—cont.

- (d) the carriage of goods or passengers by railway, or the carriage of passengers by road, or the carriage of goods by canal or inland navigation.

For the purposes of this subsection and any other provision of this Act relating to the national defence contribution—

- (i) the expression “statutory undertakers” means any local or public authority authorised by or by virtue of any enactment to render any of the services aforesaid in the United Kingdom or a Dominion as defined in section twenty-seven of the Finance Act, 1920, and any other person so authorised who is precluded by or by virtue of any enactment from charging any higher price for those services than that authorised by or by virtue of the enactment or, in the case of a body corporate, is either so precluded or precluded by or by virtue of any enactment from paying a dividend at any higher rate, or distributing by way of dividend any greater amount, than that authorised by or by virtue of the enactment;

- (ii) the expression “pier” means a pier wholly or mainly used for loading or unloading goods or embarking or disembarking passengers.

(6) This section shall not apply to the business carried on by the British Broadcasting Corporation.

(7) If the Commissioners appointed for the purposes of the Special Areas (Development and Improvement) Acts, 1934 and 1937, certify that, for the purpose of inducing any persons to establish an industrial undertaking in any of the special areas, it is expedient that those persons, in addition to being provided with financial assistance under section three of the Special Areas (Amendment) Act, 1937, should be given relief in respect of any national defence contribution which may become chargeable in respect of the profits of the undertaking, the Treasury may agree to remit the whole or any part of any national defence contribution so chargeable.

1 Edw. 8. &
1 Geo. 6.
c. 31.

Computa-
tion of
profits and
accounting
periods.

20.—(1) For the purpose of the national defence contribution, the profits arising from a trade or business in each chargeable accounting period shall be separately computed, and shall be so computed on income tax

principles as adapted in accordance with the provisions of the Fourth Schedule to this Act. A.D. 1937.

PART III.
—cont.

For the purpose of this subsection, the expression “income tax principles” in relation to a trade or business means the principles on which the profits arising from the trade or business are computed for the purpose of income tax under Case I of Schedule D, or would be so computed if income tax were chargeable under that Case in respect of the profits so arising.

(2) For the purpose of the national defence contribution, the accounting periods of a trade or business shall be determined as follows:—

- (a) in a case where the accounts of the trade or business are made up for successive periods of twelve months, each of those periods shall be an accounting period;
- (b) in a case where the accounts of the trade or business have been made up as aforesaid but have ceased to be so made up, the accounting periods from the end of the last period of twelve months for which they were so made up shall be such periods not exceeding twelve months as the Commissioners of Inland Revenue may determine;
- (c) in any other case the accounting periods of a trade or business shall be such periods not exceeding twelve months as the Commissioners of Inland Revenue may determine;

and the expression “chargeable accounting period” means—

- (i) any accounting period determined as aforesaid which falls wholly within the five years beginning on the first day of April, nineteen hundred and thirty-seven; and
- (ii) in a case where any such accounting period falls partly within and partly without the said five years, such part of that period as falls within those five years.

(3) Where a chargeable accounting period is not a period for which the accounts of the trade or business have been made up, such division and apportionment to specific periods of the profits and losses for any period

A.D. 1937.

PART III.

—cont.

for which the accounts relating to the trade or business have been made up, and such aggregation of any such profits or losses or any apportioned part thereof, shall be made as appears necessary to arrive at the profits arising in the chargeable accounting period.

(4) Any apportionment under the last foregoing subsection shall be made in proportion to the number of months or fractions of months in the respective periods, unless the Commissioners of Inland Revenue having regard to any special circumstances otherwise direct.

Exemption
and abate-
ment in
respect of
minimum
profits.

21.—(1) Where the profits arising in any chargeable accounting period from a trade or business do not exceed two thousand pounds, those profits shall not be chargeable to the national defence contribution.

(2) Where the profits arising in any chargeable accounting period from a trade or business exceed two thousand pounds but are less than twelve thousand pounds, those profits shall, for the purpose of assessment to the national defence contribution, be reduced by a sum equal to one-fifth of the difference between the amount of those profits and twelve thousand pounds.

(3) In relation to a chargeable accounting period of less than twelve months, references in this section to two thousand pounds and twelve thousand pounds shall be construed as references to a sum which bears the same proportion to two thousand pounds or to twelve thousand pounds, as the case may be, as the length of the period bears to twelve months.

Provisions
as to
subsidiary
companies.

22.—(1) Where a body corporate resident in the United Kingdom is a subsidiary of another body corporate so resident (hereafter in this section referred to as “the principal company”) the principal company may, by notice in writing given to the Commissioners of Inland Revenue before the expiration of any chargeable accounting period of the subsidiary or within two months thereafter, require that the provisions of subsection (2) of this section shall apply to the subsidiary as respects that period and all subsequent chargeable accounting periods throughout which it continues to be a subsidiary of the principal company :

Provided that, if the first chargeable accounting period of the subsidiary ended before the passing of this

Act, a notice given as respects that period within two months from the passing of this Act shall have effect for the purposes of this section as if it had been given within two months from the end of that period.

A.D. 1937.

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PART III.
—cont.

(2) Where such a notice is given, the profits or losses arising in any chargeable accounting period to which the notice relates from the trade or business carried on by the subsidiary shall be treated, for the purpose of the provisions of this Act relating to the national defence contribution other than the provisions of paragraph 2 and sub-paragraph (2) of paragraph 3 of the Fourth Schedule to this Act, as if they were profits or losses arising in the corresponding chargeable accounting period from the trade or business carried on by the principal company.

(3) For the purpose of this section—

- (a) a body corporate shall be deemed to be a subsidiary of another body corporate if and so long as not less than nine-tenths of its ordinary share capital is beneficially owned by that other body corporate;
- (b) the expression “ordinary share capital” has the same meaning as in the Fourth Schedule to this Act;
- (c) a chargeable accounting period of a subsidiary shall be deemed to correspond to such chargeable accounting period of the principal company as the Commissioners of Inland Revenue may determine.

23.—(1) The amount of the national defence contribution chargeable on the profits arising in any chargeable accounting period from the business of a building society shall not exceed one and one-half per cent. of the amount of those profits computed in accordance with the provisions of this Part of this Act, but without allowing any deduction for interest paid on money borrowed by the society from members or depositors.

Special provision as to building societies.

(2) For the purpose of this section the expression “building society” means a society regulated by any of the Acts regulating building societies, or a society registered under the Industrial and Provident Societies Acts, 1893 to 1928, which carries on a business of such a nature that it could have been established under any of

A.D. 1937. the Acts regulating building societies, and no other business.

PART III.

—cont.

Assessment,
collection,
appeals, &c.

24.—(1) The national defence contribution shall be assessed and collected by the Commissioners of Inland Revenue in accordance with the provisions of Part I of the Fifth Schedule to this Act, and shall be due and payable at the expiration of one month from the date of the assessment, and shall be recoverable as a debt due to His Majesty from the person on whom it is assessed.

(2) Any person who is dissatisfied with any such assessment may appeal subject to and in accordance with the provisions of Part II of the said Schedule.

(3) The provisions of Part III of the said Schedule shall have effect for the purpose of carrying into effect the provisions of this section and of Parts I and II of the said Schedule and otherwise for supplementing those provisions.

Deduction
of national
defence
contribution
in
computing
liability to
income
tax.

25.—(1) The amount of the national defence contribution payable in respect of the profits arising from a trade or business in any chargeable accounting period shall be allowed to be deducted as an expense in computing for the purpose of income tax the profits and gains arising from that trade or business in that period.

(2) Where an amount is allowed to be deducted as an expense by virtue of this section, any income tax overpaid in consequence thereof by any person shall be repaid to him.

PART IV.

NATIONAL DEBT.

Provisions
as to per-
manent
annual
charge
for the
National
Debt.

26.—(1) The permanent annual charge for the National Debt for the financial year ending on the thirty-first day of March, nineteen hundred and thirty-eight, shall be the sum of two hundred and twenty-four million pounds instead of the sum of three hundred and fifty-five million pounds.

(2) The Treasury may at any time, if they think fit, raise money in any manner in which they are authorised to raise money under and for the purposes of subsection (1) of section one of the War Loan Act, 1919, for providing any sums required during the said financial year for the purposes mentioned in paragraph (a) or

9 & 10
Geo. 5. c. 37.

paragraph (b) of subsection (4) of section twenty-three of the Finance Act, 1928, and the amount required by the said subsection (4) to be issued from the permanent annual charge for the National Debt for the purposes aforesaid in that year shall be decreased by the amount raised under this subsection.

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PART IV.

—cont.

18 & 19
Geo. 5. c. 17.

(3) Any securities created and issued to raise money under the last preceding subsection shall be deemed for all purposes to have been created and issued under subsection (1) of section one of the War Loan Act, 1919.

27. No issue shall be made out of the Consolidated Fund under section forty-eight of the Finance Act, 1930 (which provides in the case of a deficit in any year for the redemption in the next year of a corresponding amount of debt) in respect of the deficit for the financial year ending on the thirty-first day of March, nineteen hundred and thirty-seven.

Amendment
as to deficit
for 1936-37.
20 & 21
Geo. 5. c. 28.

28.—(1) Where an application is made for a direction under section fifty-five of the National Debt Act, 1870 (which, as extended by paragraph 6 of the Third Schedule to the Finance Act, 1921, relates to unclaimed stock, dividends and principal moneys payable on redemption) either—

Advertise-
ment of
applications
for un-
claimed
stock,
dividends
and other
moneys.
33 & 34 Vict.
c. 71.
10 & 11
Geo. 5. c. 32.

(a) for the re-transfer of any stock the nominal value whereof exceeds twenty pounds; or

(b) for the payment of any dividends or other moneys amounting in all to more than twenty pounds;

the direction may, if the Governor or Deputy Governor of the Bank thinks fit, be withheld until three months after public notice of the application has been given by advertisement in such manner and containing such particulars as he may direct.

(2) In this section "the Bank" means the Bank of England, or, if the application is made to the Bank of Ireland, the Bank of Ireland.

(3) Sections fifty-six and fifty-seven of the National Debt Act, 1870, shall cease to have effect.

29. Notwithstanding anything in section thirty-two of the National Debt Act, 1870, a stock certificate issued under Part V of that Act after the passing of this Act shall not be convertible into a nominal certificate.

Amendment
as to stock
certificates.

A.D. 1937.

PART V.

MISCELLANEOUS AND GENERAL.

Repeal of
stamp
duties on
certain
honours and
dignities.

30.—(1) Stamp duty shall not be chargeable upon any grant or letters patent of the honour or dignity of a duke, marquis, earl, viscount, baron, baronet or knight, or upon any grant or warrant of precedence to take rank among nobility, or upon any docket, or warrant under the sign manual of His Majesty, relating to any such grant, letters patent or warrant of precedence.

(2) This section shall be deemed to have had effect as from the tenth day of May, nineteen hundred and thirty-seven.

Exemption
from death
duties in
case of land
transferred
to National
Trust.

31.—(1) Where any estate or interest in land (in this section referred to as “the settled property”) is given, devised or bequeathed by any person (in this section referred to as “the disposer”) in such manner as to render the National Trust entitled indefeasibly to the settled property subject to one or more life interests created by the gift, devise or bequest, being life interests to which this section applies, but to no other interest so created, exemption from death duties shall be granted subject to and in accordance with the provisions of this section.

(2) The life interests to which this section applies are—

- (a) a life interest (whether extending to the whole or to a part only of the rents and profits arising from the settled property, and whether or not determinable upon an event other than death) given to the disposer;
- (b) a like interest given to the spouse or a child of the disposer and commencing, so as to entitle the beneficiary as from its commencement to receipt for his own use of all the rents and profits to which it extends, on the date of the cesser of an interest given to the disposer as aforesaid;
- (c) a like interest given to the spouse or a child of the disposer and commencing as aforesaid on the date on which the gift is made;
- (d) a like interest devised or bequeathed to the spouse or a child of the disposer and commencing as aforesaid on the date of the disposer's death.

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PART V.

—cont.

(3) In the case of any estate duty that would, but for this provision, have been leviable in respect of the settled property or any part thereof on or with reference to the death after the passing of this Act of the disponent, or of a person, whether being the disponent or a spouse or child of his, to whom such an interest as aforesaid is given, devised or bequeathed, exemption shall be granted, if on the death the settled property passes, or a benefit accrues therefrom, to the National Trust, as follows, that is to say—

- (a) exemption shall be granted as to an amount of that duty (whether being the whole or a part thereof) corresponding to the extent to which the settled property passes, or a benefit accrues therefrom, to the National Trust as compared with the extent to which the settled property passes, or a benefit accrues therefrom, to any person or persons entitled to such an interest or interests as aforesaid;
- (b) for the purposes of this subsection, the extent to which on a death the settled property passes, or a benefit accrues therefrom, to any person shall be computed by reference to the extent to which that person becomes on the death entitled to receive for his own use the rents and profits arising from the settled property computed as at the death :

Provided that, where the death is that of the disponent under a gift and the National Trust is immediately before the death entitled to any extent to receipt of the rents and profits of the settled property for its own use, the settled property shall be deemed to that extent to pass to the National Trust on the death ;

- (c) where exemption is granted as to a part of the estate duty leviable on or with reference to any death, the residue thereof shall be charged and borne in like manner as if the passing on the death, or the benefit accruing on the death, as the case may be, had been a passing, or a benefit accruing, wholly to the person or persons other than the National Trust mentioned in paragraph (a) of this subsection.

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PART V.
—cont.

(4) In the case of any succession duty that would, but for this provision, have been leviable in respect of a succession taken by the National Trust after the passing of this Act and comprising the settled property or any part thereof, exemption shall be granted as to the whole of that duty :

Provided that the exemption from succession duty granted by this subsection shall not have effect in the case of a succession conferred otherwise than by such a gift, devise or bequest as aforesaid.

(5) The exemptions from duty conferred by the foregoing provisions of this section shall not have effect unless within six months from the date on which the gift is made, or the date of the death of the testator, as the case may be, or, in the case of a gift made before the date of the passing of this Act, that date, or within such extended period as the Commissioners of Inland Revenue may allow, the interest of the National Trust has been so dealt with as to be held by the Trust inalienably.

21 & 22
Geo. 5. c. 28.

(6) Where the requirements of subsection (1) of section forty of the Finance Act, 1931, are fulfilled in relation to any estate or interest in land given, devised or bequeathed by any person to the National Trust, then, if that person dies after the passing of this Act, the estate or interest shall be exempt from any duties which might under that subsection have been remitted by the Treasury.

(7) In this section the expression "the National Trust" has the same meaning as in section forty of the Finance Act, 1931.

Fixed con-
tribution
to Exche-
quer from
Post Office
Fund.

32. For the purpose of any calculation required to be made for the purpose of section thirty-nine of the Finance Act, 1933 (which relates to the Post Office Fund) as respects the financial year ending on the thirty-first day of March, nineteen hundred and thirty-eight, and the two following financial years, the fixed contribution to the Exchequer shall be taken to be the sum of ten million seven hundred and fifty thousand pounds.

Amend-
ments as to
Government
annuities.
19 & 20
Geo. 5. c. 29.

33.—(1) The charge required by subsection (3) of section six of the Government Annuities Act, 1929, to be made in respect of the grant of a Government annuity, when the consideration therefor is a sum of money, shall cease to be made.

(2) The period after the expiration of which no authority given or certificate granted under section seven of the said Act (which relates to payment of consideration for annuities) continues valid under subsection (7) of that section shall, instead of being a period of five days from the date of the authority or certificate as provided in that subsection, be a period of fifteen days from that date :

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—
PART V.
—cont.

Provided that, where the authority or certificate is given or granted in the last fifteen days of the month of February, May, August or November, the said period shall be a period expiring at the end of the month in which it is given or granted.

34.—(1) This Act may be cited as the Finance Act, 1937.

Short title,
construc-
tion, extent
and repeals.

(2) Part I of this Act, so far as it relates to duties of customs, shall be construed as one with the Customs Consolidation Act, 1876, and so far as it relates to duties of excise, shall be construed as one with the Acts which relate to the duties of excise and to the management of those duties.

39 & 40 Vict.
c. 36.

(3) Part II of this Act shall be construed as one with the Income Tax Acts.

(4) Any reference in this Act to any other enactment shall be construed as a reference to that enactment as amended by any subsequent enactment, including (unless the context otherwise requires) this Act.

(5) Such of the provisions of this Act as relate to matters with respect to which the Parliament of Northern Ireland has power to make laws shall not extend to Northern Ireland.

(6) The enactments set out in the Sixth Schedule to this Act are hereby repealed to the extent mentioned in the third column of that Schedule—

(a) in the case of the enactments set out in Part I of that Schedule, as from the sixth day of April, nineteen hundred and thirty-seven :

A.D. 1937.

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PART V.
—*cont.*

- (b) in the case of the enactments set out in Part II of that Schedule, as from the passing of this Act; and
- (c) in the case of the enactments set out in Part III of that Schedule, as from the first day of January, nineteen hundred and thirty-eight.

SCHEDULES.

A.D. 1937.

FIRST SCHEDULE.

Section 3.

UNITED KINGDOM—CANADA TRADE AGREEMENT.

The Governments of the United Kingdom and of Canada, recognizing that the revival and development of trade is an essential feature of the prosperity and well-being of all countries and to this end desiring further to facilitate trade and commerce between the United Kingdom and Canada, and having resolved to replace by the present Agreement the Agreement concluded between them at Ottawa on the 20th August, 1932, have agreed upon the following provisions :—

ARTICLE 1.

The Government of the United Kingdom undertake that goods grown, produced or manufactured in Canada and consigned from any part of the British Empire which are now free of duty, shall continue to enjoy entry free of customs duty into the United Kingdom, subject, however, to the reservations set forth in Schedule I appended hereto.

ARTICLE 2.

The Government of the United Kingdom undertake that the goods the manufacture of Canada enumerated in Schedule II appended hereto when consigned from any part of the British Empire shall not on importation into the United Kingdom be subjected to duties of customs higher than those specified in that Schedule.

ARTICLE 3.

The Government of the United Kingdom undertake in respect of the goods the growth, produce or manufacture of Canada enumerated in Schedule III appended hereto that the difference between the rate of the duties of customs on such goods on importation into the United Kingdom when consigned from any part of the British Empire and the rate upon similar goods the growth, produce or manufacture of any foreign country shall not be less than the rates set out in that Schedule :

Provided that the duty on either wheat in grain, copper, zinc or lead, as provided in this Agreement, may be

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1st SCH.
—cont.

removed if at any time Empire producers of wheat in grain, copper, zinc or lead respectively are unable or unwilling to offer these commodities on first sale in the United Kingdom at prices not exceeding the world prices and in quantities sufficient to supply the requirements of United Kingdom consumers; and,

Provided further that while the arrangements contained in the Report of the Import Duties Advisory Committee of the 2nd July, 1935, are in force, the duties on lead and zinc shall be in accord with the proposals in Appendices B and C of that Report.

ARTICLE 4.

The Government of the United Kingdom undertake that until the 19th August, 1942, tobacco grown, produced or manufactured in Canada and consigned from any part of the British Empire shall enjoy on importation into the United Kingdom the existing margin of preference over foreign tobacco, so long, however, as the duty on foreign unmanufactured tobacco does not fall below 2s. 0½d. per lb., in which event the margin of preference shall be equal to the full duty.

ARTICLE 5.

The Government of Canada, recognizing that it is the present policy of the Government of the United Kingdom to promote the orderly marketing of bacon and hams and of meat in the United Kingdom with due regard to the normal development of trade, declare their willingness so far as their power extends to continue to assist the Government of the United Kingdom in carrying out this policy and, in particular, to furnish from time to time estimates of forthcoming shipments of bacon and hams and cattle and beef.

As regards bacon and hams, the Government of the United Kingdom undertake :

- (1) That any duty or levy which may be imposed on bacon and hams imported into the United Kingdom shall not apply to imports of Canadian bacon and hams when consigned from any part of the British Empire;
- (2) that there will be no regulation by them of such imports unless the rate at which the trade from Canada progresses towards two and one half million hundred-weight per annum should become abnormal and such as to endanger the effective working of the system of supply regulation;
- (3) that no such regulation would be put into effect without prior consultation with the Government of Canada.

As regards cattle and beef, the Government of the United Kingdom undertake :

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1ST SCH.
—cont.

- (1) That any duty or levy which may be imposed on cattle or beef imported into the United Kingdom shall not apply to imports of Canadian cattle or beef when consigned from any part of the British Empire;
- (2) that, if so requested, they will make themselves responsible for Canadian interests in any International Conference that may be set up to arrange for regulating supplies imported into the United Kingdom and will use their best endeavours to ensure that Canada secures an equitable share in the trade in cattle and beef;
- (3) that any Agreement for the setting up of such a Conference, to which they may become a party, will not provide for any reduction in imports of Canadian fat cattle and beef into the United Kingdom below recent levels;
- (4) that any such Agreement will recognize that special provision may become necessary for increased shipments of fat cattle and beef from Canada and will provide for specified reductions, if necessary, in shipments of chilled beef from foreign countries;
- (5) that there will be no regulation of imports of cattle or beef from Canada unless, after consultation with the Government of Canada, it appears to the Government of the United Kingdom that the effective working of a general scheme for the orderly marketing in the United Kingdom of meat cannot otherwise be secured.

ARTICLE 6.

The Government of Canada undertake that the goods the growth, produce or manufacture of the United Kingdom enumerated in Schedule IV appended hereto, when conveyed without transshipment from any part of the British Empire enjoying the benefits of the British Preferential Tariff into a sea, lake or river port of Canada, shall not be subjected to duties of customs higher than those specified in that Schedule.

The Government of Canada undertake as regards goods the growth, produce or manufacture of the United Kingdom other than those enumerated in Schedule IV that, under the British Preferential Tariff, no new protective duty shall be imposed and no existing protective duty increased except after an inquiry at which United Kingdom producers shall enjoy full rights of audience.

A.D. 1937.

1st SCH.
—cont.

ARTICLE 7.

The Government of Canada undertake that goods the growth, produce or manufacture of the United Kingdom enumerated in Schedule IV, when not of a class or kind made in Canada and when subject to duties of customs on importation into Canada, shall, when conveyed without transshipment from any part of the British Empire enjoying the benefits of the British Preferential Tariff into a sea, lake or river port of Canada, enjoy the benefit of preferential tariff margins which, in the case of any such goods, shall not be less than the difference between the rate of duty provided for in this agreement and the rate of duty now levied upon like goods the growth, produce or manufacture of any foreign country, provided however that, if the duty on foreign goods becomes less than such preferential tariff margin, no duty shall be levied on the like goods of United Kingdom origin.

ARTICLE 8.

The Government of Canada undertake in respect of the goods the growth, produce or manufacture of the United Kingdom enumerated in Schedule V appended hereto that the difference between the rates of duties of customs on such goods on importation into Canada, when conveyed without transshipment from any part of the British Empire enjoying the benefits of the British Preferential Tariff into a sea, lake or river port of Canada, and the rates upon similar goods the growth, produce or manufacture of any foreign country shall not be less than the margins set out in that Schedule.

ARTICLE 9.

The two Governments undertake that, except as provided for in legislation already in force, goods the growth, produce or manufacture of either country covered by the provisions of Articles 1 and 2, or of the first paragraph of Article 6, as the case may be, shall not be subjected on importation into the other country to any imposts or charges other than the customs duties leviable in accordance with the provisions of the said Articles unless equal imposts or charges are imposed on similar goods the growth, produce or manufacture of the importing country.

ARTICLE 10.

Each Government reserve the right to suspend or modify the preferential margin specified in respect of any item in Schedule III or Schedule V, as the case may be, if, after inquiry, it appears to that Government that a predominating share of the trade in such item is controlled by any organisation or combine of exporters and that by virtue of the guaranteed margin that organisation or combine is exercising this control to the prejudice of consumers or users of the goods in question.

ARTICLE 11.

A.D. 1937.

Neither Government will, without the consent of the other Government, amend their regulations regarding qualification for preferential tariff treatment so as to increase above fifty per centum the prescribed proportion of the value of any class of manufactured articles which must be derived from expenditure in the British Empire in order to entitle the articles to preference.

1ST SCH.
—cont.

ARTICLE 12.

The Government of Canada, recognizing that the entry of Canadian goods into the United Kingdom market free of duty, as assured in Article 1 of this Agreement and, in particular, their exemption from liability to any special or dumping duty, even if sold in that market at less than their comparable selling price in Canada, warrant more nearly reciprocal treatment of United Kingdom goods offered for sale in similar circumstances in Canada, agree to exempt particular classes of United Kingdom goods from special or dumping duty under the conditions set out in the following paragraphs.

If it appears to the Government of the United Kingdom that any goods enjoying entry free of duty into the United Kingdom under the provisions of Article 1 of this Agreement are exported from Canada to the United Kingdom at export or selling prices lower than the fair market value for home consumption, as determined on the bases laid down in Section 6 of the Customs Tariff of Canada, and that in consequence thereof the sale of similar United Kingdom goods is being prejudicially or injuriously affected, they may notify the Government of Canada of the facts of the case and request that United Kingdom goods of each or any class or kind normally manufactured by the Canadian industry manufacturing the goods in question shall be exempt from special or dumping duty on importation into Canada.

On receipt of such notification and request the Government of Canada will take suitable steps to correct the situation complained of and, if other measures are ineffectual, will exempt United Kingdom goods, as specified in the notification, from special or dumping duty for such period as may prove necessary. Recognizing that in certain circumstances it may be found necessary to exempt from special or dumping duty other United Kingdom goods of a class or kind normally manufactured by the Canadian industry manufacturing the goods in question, the Government of Canada agree that they will accord sympathetic consideration to any request that the United Kingdom Government may make under this Article for such exemption and will, in consultation with the United Kingdom Government, determine what measures shall be taken to restore fair trading conditions.

A.D. 1937.

1ST SCH.
—cont.

ARTICLE 13.

The Government of the United Kingdom will invite the Governments of the non-self-governing Colonies and Protectorates to continue to accord to Canada any preference which may for the time being be accorded to any other part of the British Empire :

Provided that the operation of this paragraph shall not extend to any preferences accorded by Northern Rhodesia to the Union of South Africa, Southern Rhodesia and the High Commission Territories in South Africa.

The Government of Canada undertake to accord to those non-self-governing Colonies, Protectorates and Mandated Territories, to which the benefits of the British Preferential Tariff are at present accorded, and also to Malta, the benefit of any preferences for the time being accorded to any part of the British Empire :

Provided that nothing in this paragraph shall interfere with existing obligations or special arrangements already in force between Canada and other parts of the British Empire; and,

Provided further that the Government of Canada shall not be bound to continue to accord any preferences to any Colony or Protectorate which, not being precluded by international obligations from according preferences, either (i) accords to Canada no preferences, or (ii) accords to some other part of the British Empire (in the case of Northern Rhodesia, excepting the Union of South Africa, Southern Rhodesia and the High Commission Territories in South Africa) preferences not accorded to Canada.

ARTICLE 14.

The Government of Canada undertake to accord to goods the growth, produce or manufacture of any of the non-self-governing Colonies, Protectorates or Mandated Territories of Togoland under British Mandate, the Cameroons under British Mandate, the Tanganyika Territory or Palestine, treatment not less favourable than that accorded to similar goods the growth, produce or manufacture of any foreign country.

ARTICLE 15.

The Government of the United Kingdom will invite the Governments of the Colonies and Protectorates shown in Schedule VI appended hereto to continue in operation the preferences accorded to Canada on the commodities and at the rates shown in that Schedule, and the Government of Canada will continue in operation the preferences accorded to the Colonies, Protectorates

and Mandated Territories by Canada as set out in Schedule VII
appended hereto :

A.D. 1937.

1st Sch.
—cont.

Provided that the Government of Canada shall not be bound to continue to accord any preferences to any Colony or Protectorate which, not being precluded by international obligations from according preferences, either (i) accords to Canada no preferences, or (ii) accords to some other part of the British Empire (in the case of Northern Rhodesia, excepting the Union of South Africa, Southern Rhodesia and the High Commission Territories in South Africa) preferences not accorded to Canada; and,

Provided further that, in the event of the denunciation and termination of the Canada-West Indies Trade Agreement dated the 6th July, 1925, either Government shall be at liberty, on giving at least six months' notice, to terminate the provisions of this Article not earlier than the termination of that Agreement.

ARTICLE 16.

In the event of circumstances arising which in the judgment of the Government of the United Kingdom or of the Government of Canada, as the case may be, necessitate a variation in the terms of this Agreement, the proposal to vary those terms shall be the subject of consultation between the two Governments.

ARTICLE 17.

The Agreement will come into force on a date to be mutually agreed between the two Governments. On the coming into force of the present Agreement, the Agreement concluded between the two Governments at Ottawa on the 20th August, 1932, shall cease to have effect. Pending the coming into force of the present Agreement, the two Governments will apply its provisions as far as may be possible and will consult together with regard to the dates on which particular provisions of the 1932 Agreement shall be deemed to have been replaced by provisions of the present Agreement. The Agreement will remain in force until the 20th August, 1940. Unless six months before the 20th August, 1940, notice of termination shall have been given by either Government to the other, the Agreement will remain in force until the expiry of six months from the date on which a notice of termination is given.

A.D. 1937. Done in duplicate, at Ottawa, this twenty-third day of
February, 1937.

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1st SCH.
—cont.

Signed on behalf of the Government of the United Kingdom.

F. L. C. FLOUD.

Signed on behalf of the Government of Canada.

W. L. MACKENZIE KING.

CHAS. A. DUNNING.

SCHEDULE I.

(See Article 1.)

As regards eggs, poultry, butter, cheese and other milk products, the Government of the United Kingdom reserve to themselves the right, if they consider it necessary in the interests of the United Kingdom producer to do so, to review at any time the basis of preference so far as relates to the articles above enumerated and after notifying the Canadian Government either to impose a preferential duty on Canadian produce whilst maintaining preferential margins, or in consultation with the Canadian Government to bring such produce within any system which may be put into operation for the quantitative regulation of supplies from all sources in the United Kingdom market.

SCHEDULE II.

(See Article 2.)

Article.	Rate of Duty.
Motor cars (including motor bicycles and motor tricycles) and accessories and component parts of motor cars, motor bicycles and motor tricycles.	22 $\frac{2}{3}$ per cent. ad valorem.
Stockings and socks of natural silk or where the value of the natural silk component exceeds 20 per cent. of the aggregate of the values of all the components of the article.	28 $\frac{8}{9}$ per cent. ad valorem, or 8s. per lb., whichever is the greater.
Reed organs (including harmoniums) complete.	Free.

SCHEDULE III.

(See Article 3.)

A.D. 1937.

1st Sch.
—cont.

Article.	Margin of Preference.
Wheat, in grain - - - - -	2s. per quarter.
Butter - - - - -	15s. per cwt.
Cheese - - - - -	15% ad valorem.
Apples, raw (excluding apples con- signed direct to a registered cider manufacturer for use in making cider).	4s. 6d. per cwt.
Pears, raw - - - - -	4s. 6d. per cwt.
Apples, canned - - - - -	3s. 6d. per cwt., in addition to the difference in the rates of duty in respect of sugar content.
Eggs in shell—	
(a) not exceeding 14 lbs. in weight per great hundred.	1s. per great hundred.
(b) over 14 lbs., but not exceeding 17 lbs.	1s. 6d. per great hundred.
(c) over 17 lbs. - - - - -	1s. 9d. per great hundred.
Condensed milk, whole, sweetened or slightly sweetened.	5s. per cwt., in addition to the difference in the rates of duty in respect of sugar content.
Condensed milk, whole, not sweetened.	6s. per cwt.
Milk powder and other preserved milk excluding condensed milk, not sweetened.	6s. per cwt.
Honey - - - - -	7s. per cwt.
Copper, unwrought, whether refined or not, in ingots, bars, blocks, slabs, cakes and rods.	2d. per lb.
Timber of all kinds imported into the United Kingdom in substan- tial quantities from Canada, in so far as now dutiable.	10% ad valorem.
Fish, fresh sea, excluding fish livers	10% ad valorem.
Chilled or frozen salmon - - -	1½d. per lb.
Salmon, canned - - - - -	10% ad valorem.
Other fish, canned - - - - -	10% ad valorem.

A.D. 1937.	Article.	Margin of Preference.
1st Sch. —cont.	Asbestos - - - - -	10% ad valorem.
	Zinc - - - - -	10% ad valorem.
	Lead - - - - -	10% ad valorem.
	Patent leather not forming part of another article and goods com- posed wholly of patent leather.	15% ad valorem.

SCHEDULE IV.

(See Article 6.)

Note.—The rates of duty set out below will be subject to discounts in accordance with the provisions of Section 5 of the Customs Tariff.

Tariff Item.	Article.	Rate of duty.
ex 8	Extracts of meat and fluid beef, not medicated - - -	10 p.c.
20a	Butter produced from the cocoa bean - - -	Free.
23	Preparations of cocoa or chocolate, n.o.p., and confectionery, coated with or containing choco- late, the weight of the wrappings and cartons to be included in the weight for duty - - -	12½ p.c. 2½ cts.
34	Mustard, ground - - -	17½ p.c.
41	Salt, n.o.p., in bags, barrels and other coverings - Bags, barrels, and other usual coverings used in the importation of the salt specified in this item -	Free.
65	Biscuits, not sweetened - - -	12½ p.c.
65a	Diabetic breads and biscuits, under regulations prescribed by the Minister - - -	Free.
66a	Biscuits, sweetened or unsweetened, valued at not less than 20 cents per pound wholesale, f.o.b. any port in the United Kingdom, said value to be based on the net weight and to include the value of the usual retail package - - -	Free.
ex 82	(d) Rosebushes, n.o.p. - - - each	1½ cts.
ex 90	Vegetables, prepared or preserved :— (b) Pickled or preserved in salt, brine, oil or in any other manner, n.o.p. - - -	15 p.c.
105d	Jellies, jams, marmalades, preserves, fruit butters and condensed mince meats - - per pound	2 cts.
105e	Fruits and peels, crystallized, glacé, candied or drained; cherries and other fruits of crème de menthe, maraschino or other flavour - -	20 p.c.
ex 120	Herring (not including kippered herring in sealed containers) packed in oil or otherwise, in sealed containers - - -	20 p.c.
123	Salmon and all other fish, prepared or preserved, including oysters, n.o.p. - - -	17½ p.c.

Tariff Item.	Article.	Rate of duty.
141	Sugar candy and confectionery, n.o.p., including sweetened gums, candied pop-corn, candied nuts, flavoured powders, custard powders, jelly powders, sweet-meats, sweetened breads, cakes, pies, puddings and all other confections containing sugar, the weight of the wrappings and cartons to be included in the weight for duty per pound	$\frac{1}{2}$ ct. 15 p.c.
143a	Cigarettes, the weight of the paper covering to be included in the weight for duty - per pound	\$3.50.
144	Cut tobacco - - - - - per pound	80 cts.
145	Manufactured tobacco, n.o.p., and snuff per pound	75 cts.
147	Ale, beer, porter and stout, when imported in bottles - - - - - per gallon Provided, that six quart bottles or twelve pint bottles shall be held to contain one gallon.	15 cts.
152	Lime juice, fruit syrups and fruit juices, n.o.p. -	15 p.c.
156	Ethyl alcohol, or the substance commonly known as alcohol, hydrated oxide of ethyl or spirits of wine, n.o.p.; gin of all kinds, n.o.p.; whisky and all spirituous or alcoholic liquors, n.o.p.; amyl alcohol or fusel oil, or any substance known as potato spirits or potato oil; methyl alcohol, wood alcohol, wood naphtha, pyroxylic spirit or any substance known as wood spirit or methylated spirits, absinthe, arrack or palm spirit, brandy, including artificial brandy and imitations of brandy, n.o.p.; cordials and liqueurs of all kinds, n.o.p.; mescal, pulque, rum shrub, schiedam and other schnapps; tafia, angostura and similar alcoholic bitters or beverages; and wines, n.o.p., containing more than forty per cent. of proof spirit, per gallon of the strength of proof - Provided, as to all goods specified in Item No. 156 when of less strength than the strength of proof, that no reduction or allowance shall be made in the measurement thereof for duty purposes, below the strength of 15 per cent. under proof.	\$5.00.
159	Spirits and strong waters of any kind, mixed with any ingredient or ingredients, as being or known or designated as essences, extracts, or ethereal and spirituous fruit essences, n.o.p. - per gallon and	\$5.00. 30 p.c.
160	Alcoholic perfumes and perfumed spirits, bay rum, cologne and lavender waters, lotions, hair, tooth and skin washes, and other toilet preparations containing spirits of any kind:— (a) when in bottles or flasks containing not more than four ounces each - - - (b) when in bottles, flasks or other packages, containing more than four ounces each per gallon	30 p.c. \$5.00.

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1st Sch.
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Tariff Item.	Article.	Rate of duty.
168	Malt flour containing less than 50 per centum in weight of malt; malt syrup or malt syrup powder; extracts of malt, fluid or not; grain molasses—all articles in this item upon valuation without British or foreign excise duties, under regulations prescribed by the Minister . . .	25 p.c.
169	Books, viz. :—Novels or works of fiction, or literature of a similar character, unbound or paper bound or in sheets, but not to include Christmas annuals, or publications commonly known as juvenile and toy books . . .	Free.
171	Books, printed, periodicals and pamphlets, or parts thereof, n.o.p., not to include blank account books, copy books, or books to be written or drawn upon . . .	Free.
178 } 178c }	Advertising and printed matter, viz. :—Advertising pamphlets, advertising show cards, illustrated advertising periodicals; price books, catalogues and price lists; advertising almanacs and calendars; patent medicine or other advertising circulars, fly sheets or pamphlets; advertising chromos, chromotypes, oleographs or like work produced by any process other than hand painting or drawing, and having any advertisement or advertising matter printed, lithographed or stamped thereon, or attached thereto, including advertising bills, folders and posters, or other similar artistic work, lithographed, printed or stamped on paper or cardboard for business or advertisement purposes, n.o.p. :— (i) when produced in countries entitled to the British Preferential Tariff and relating exclusively to products of such British countries, but not relating to Canadian products . . . (ii) n.o.p. . . . per pound	Free. 5 cts.
180	Photographs, chromos, chromotypes, artotypes, oleographs, paintings, drawings, pictures, decalcomania transfers of all kinds, n.o.p., engravings or prints or proofs therefrom, and similar works of art, n.o.p.; blue prints, building plans, maps, and charts, n.o.p. . . .	12½ p.c.
180c	Decalcomania transfers, when imported exclusively for use in the manufacture of vitreous enamelled products or of tableware of china, porcelain or semi-porcelain . . .	Free.
181a	Pictorial post-cards, greeting cards and similar artistic cards or folders . . .	20 p.c.
187	Albumenized and other papers and films chemically prepared for photographers' use, n.o.p. . . .	Free.
187a	Hypersensitive or supersensitive panchromatic films and infra-red films, unexposed, for aerial photography . . .	Free.

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—cont.

Tariff Item.	Article.	Rate of duty.
ex 192	Electrical insulating pressboard, not less than .040 inch in thickness - - - - -	Free.
192b	Sandpaper, glass or flint paper, and emery paper or emery cloth - - - - -	12½ p.c.
192c	Roofing and shingles of saturated felt - - - - -	Free.
193	Paper sacks or bags of all kinds, printed or not - - - - -	15 p.c.
194	Playing cards, in packs or in sheet form, n.o.p.; cards and sheets partly lithographed or printed, for use in the manufacture of such playing cards - - - - -	15 p.c.
195	Paper hanging or wall papers, including borders or bordering - - - - -	17½ p.c.
ex 197 } ex 199 }	Hand-made papers, not to include mould-made deckle-edge papers, valued at not less than 40 cents per pound wholesale - - - - -	10 p.c.
197b	Wrapping paper of all kinds, not pasted, coated or embossed - - - - -	17½ p.c.
198	Ruled and border and coated papers, boxed papers, pads not printed, papier-mâché ware, n.o.p. - - - - -	20 p.c.
199	Papeteries, envelopes, and all manufactures of paper, n.o.p. - - - - -	20 p.c.
199c	Waxed stencil paper for use on duplicating machines - - - - -	10 p.c.
200a	Regenerated cellulose, and cellulose acetate, transparent, in sheets, not printed, and manufactures of regenerated cellulose or of cellulose acetate, n.o.p. - - - - -	20 p.c.
203a	Chemical compounds composed of two or more acids or salts soluble in water, adapted for dyeing or tanning - - - - -	Free.
203b	Aniline and coal tar dyes, adapted for dyeing, in bulk, or in packages of not less than one pound - - - - -	Free.
206a	Biological products, animal or vegetable, n.o.p., for parenteral administration in the diagnosis or treatment of diseases of man, when manufactured under licence of the Department of Pensions and National Health under regulations prescribed by the Food and Drugs Act; and biological products, animal or vegetable, n.o.p., for parenteral administration in the diagnosis or treatment of diseases of animals or poultry, when imported under permit of the Veterinary Director General - - - - -	Free.
ex 208a	Chloride of lime and hypochlorite of lime:— 1. When in packages of not less than twenty-five pounds weight each - - - - -	Free.
208e	Cresylic acid and compounds of cresylic acid, used in the process of concentrating ores, metals or minerals, n.o.p. - - - - -	Free.
208j	Sal ammoniac and nitrate of ammonia - - - - -	Free.
208l	Bichloride of tin and tin crystals - - - - -	Free.
208m	Sulphate of copper (blue vitriol) - - - - -	Free.
208n	Sulphate of iron (copperas) - - - - -	Free.
208o	Cream of tartar in crystals and tartaric acid crystals - - - - -	Free.
208r	Oxide of tin or of copper - - - - -	Free.

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1st Sch.
—cont.

Tariff Item.	Article.	Rate of duty.
208s	Sulphate of zinc and chloride of zinc - - - -	Free.
208t	All chemicals and drugs, when of a kind not produced in Canada, which were on August 20, 1932, dutiable at rates of 15, 25, and 25 p.c., under Tariff Item 711 - - - -	Free.
209c	Bichromate of potash, crude; red and yellow prussiate of potash - - - -	Free.
210	Peroxide of soda; silicate of soda in crystals or in solution; bichromate of soda; nitrate of soda or cubic nitre, n.o.p.; sulphide of sodium; nitrite of soda; arseniate, binarseniate, chlorate, bisulphite and stannate of soda; prussiate of soda and sulphite of soda - - - -	Free.
210d	Sodium, sulphate of, crude, or salt cake - per pound	$\frac{1}{2}$ ct.
212	Sulphate of alumina or alum cake; and alum in bulk, ground or unground, but not calcined -	Free.
215	Stearic acid, n.o.p. - - - -	Free.
216	Acids, n.o.p., of a kind not produced in Canada -	Free.
218	Acid phosphate, not medicinal - - - -	Free.
219	(i) Solutions of peroxides of hydrogen, n.o.p. - (ii) Solutions of hydrogen peroxide containing 25 per centum or more by weight of hydrogen peroxide -	12 $\frac{1}{2}$ p.c.
219c	Non-alcoholic preparations or chemicals, such as are used for disinfecting, dipping or spraying, when in packages not exceeding three pounds each, in weight, the weight of such packages to be included in the weight for duty - - - -	Free.
219d	Sulphuric ether; chloroform, n.o.p.; preparations of vinyl ether for anæsthetic purposes - -	5 p.c.
ex 220	All medicinal, chemical and pharmaceutical preparations, compounded of more than one substance, including patent and proprietary preparations, tinctures, pills, powders, troches, lozenges, syrups, cordials, bitters, anodynes, tonics, plasters, liniments, salves, ointments, pastes, drops, waters, essences and oils, n.o.p. :— (a) When dry - - - - (b) Liquid, when containing not more than two and one-half per centum of proof spirit - - - -	Free. 17 $\frac{1}{2}$ p.c.
228	Soap powders, powdered soap, mineral soap, and soap, n.o.p. - - - -	20 p.c.
229	Soap, common or laundry, per one hundred pounds	20 p.c.
230	Castile soap - - - -	50 cts.
232	Glue, liquid, powdered or sheet, and gelatine, n.o.p. and per pound	Free.
232c	Gelatine, edible - - - -	17 $\frac{1}{2}$ p.c. 2 cts.
ex 232d	Mucilage and adhesive paste - - - - and per pound	10 p.c.
234	Perfumery, including toilet preparations, non-alcoholic, viz., hair oils, tooth and other powders and washes, pomatums, pastes and all other perfumed preparations, n.o.p., used for the hair, mouth or skin - - - -	15 p.c. 1 $\frac{1}{2}$ cts.

Tariff Item.	Article.	Rate of duty.	A.D. 1937. — 1st SCH. —cont.
236	Surgical dressings, antiseptic or aseptic, including absorbent cotton, lint, lamb's wool, tow, jute, oakum, woven fabric of cotton weighing not more than seven and one-half pounds per one hundred square yards, whether imported singly or in combination one with another, but not stitched or otherwise manufactured; surgical trusses and suspensory bandages of all kinds; sanitary napkins, spinal braces and abdominal supports -	10 p.c.	
238a	Manufactures of celluloid, or of which celluloid is the component of chief value, n.o.p. -	10 p.c.	
240	Ultramarine blue, dry or in pulp; whiting or whitening; Paris white and gilders' whiting; blanc fixé; satin white -	Free.	
241a	Litharge, other than for battery purposes -	Free.	
242	Dry red lead; orange mineral; antimony oxide, titanium oxide, and zinc oxide such as zinc white and lithopone; white pigments containing not less than 14 per cent. by weight of titanium dioxide -	Free.	
243	Dry white lead -	15 p.c.	
244	White lead ground in oil -	20 p.c.	
245	Ochres, ochrey earths, siennas and umbers -	5 p.c.	
246	Oxides, fireproofs, rough stuff, fillers, laundry blueing, and colours, dry, n.o.p. -	12½ p.c.	
246b	Stains and oxides, valued at not less than 20 cents per pound, for use exclusively as colouring constituents in the manufacture of vitreous enamels and pottery glazes; and liquid gold paint, for use exclusively in the manufacture of tableware of china, porcelain or semi-porcelain -	Free.	
247	Liquid fillers, anti-corrosive and anti-fouling paints, and ground and liquid paints, n.o.p. -	17½ p.c.	
ex247 } 247a }	Artists' and school children's colours; fitted boxes containing the same; artists' brushes; pastels, of a value of one cent per stick, or over; artists' canvas, coated and prepared for oil painting -	Free.	
248	Paints and colours, ground in spirits, and all spirit varnishes and lacquers - per gallon	75 cts.	
249	Varnishes, lacquers, japans, japan driers, liquid driers, and oil finish, n.o.p. - per gallon and	15 cts.	
250	Paris green, dry -	10 p.c.	
252	Shoe blacking; shoemakers' ink; shoe, harness and leather dressing, and knife or other polish or composition, n.o.p. -	Free.	
254	Gums, viz.:—Australian, copal, damar, elemi, kaurie, mastic, sandarac, Senegal, tragacanth, gedda, and barberry; gum chicle or sappato gum, crude; lac, crude, seed, button, stick and shell; ambergris; Pontianac -	Free.	
256	Printing ink -	12½ p.c.	
259a	Sesame seed oil, crude -	Free.	

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1st Sch.
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Tariff Item.	Article.	Rate of duty.
264	Essential oils, n.o.p., including bay oil, otto of limes, and peppermint oil	Free.
ex 265a	Halibut liver oil, crude or refined	Free.
265b	Cod liver oil, crude or refined	Free.
276b	Cotton seed and crude cotton seed oil, when im- ported by manufacturers of cotton seed meal and refined cotton seed oil, for use exclusively in the manufacture of such commodities, in their own factories	Free.
277	Palm and palm kernel oil, unbleached or bleached, not edible; shea butter	Free.
278	Oils, viz.:—cocoanut, palm and palm kernel, not edible, for manufacturing soap; carbolic or heavy oil	Free.
278b	Crude peanut oil, for refining for edible purposes, used as materials in Canadian manufactures	Free.
278c	Cocoanut oil, not edible, when imported for use in the manufacture of refined cocoanut oil	Free.
278d	Olive oil for manufacturing soap or tobacco or for canning fish; olive oil for use in the processing of textile fibres, including the finishing of fabrics	Free.
ex 282a	Firebrick, n.o.p.	7½ p.c.
284	Drain pipes, sewer pipes and earthenware fittings therefor, chimney linings or vents, chimney tops and inverted blocks, glazed or unglazed, n.o.p.; earthenware tiles, n.o.p.	20 p.c.
285	Tiles or blocks of earthenware or of stone prepared for mosaic flooring	15 p.c.
286	Earthenware and stoneware, viz.:—demijohns, churns or crocks, n.o.p.	20 p.c.
287	All tableware of china, porcelain, semi-porcelain, or white granite, but not to include tea-pots, jugs and similar articles of the type commonly known as earthenware	Free.
288	Stoneware and Rockingham ware and earthenware, n.o.p.	20 p.c.
288a	Chemical stoneware composed of a non-absorbent vitrified body specially compounded to resist acids or other corrosive reagents	Free.
288b	Hand forms of porcelain, when imported by manu- facturers for use exclusively in the manufacture of rubber gloves in their own factories	Free.
289	Baths, bathtubs, basins, closets, lavatories, urinals, sinks and laundry tubs of earthenware, stone, cement, clay or other material, n.o.p.	15 p.c.
296c	Magnesium carbonate, imported for use in the compounding or manufacture of rubber products	Free.
300	Crucibles of clay, sand or plumbago	Free.
312a	Asbestos in any form other than crude, and all manufactures thereof, when made from crude asbestos of Empire origin, n.o.p.	Free.

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Tariff Item.	Article.	Rate of duty.
316a	Incandescent lamp bulbs and glass tubing for use in the manufacture of incandescent lamps, and mantle stocking for gas light	Free.
318	Common and colourless window glass	Free.
319	Glass, in sheets, and bent plate glass, n.o.p. . . .	Free.
320	Plate glass, not bevelled, in sheets or panes not exceeding seven square feet each, n.o.p. . . .	Free.
321	Plate glass, not bevelled, in sheets or panes, exceeding seven square feet each, and not exceeding twenty-five square feet each, n.o.p. . . .	Free.
322	Plate glass, n.o.p.	17½ p.c.
323	Silvered glass, bevelled or not and framed or not, n.o.p.	20 p.c.
326 } ex326a }	(i) Demijohns or carboys, bottles, flasks, phials, jars and balls, of glass, not cut, n.o.p.; lamp chimneys of glass, n.o.p.; decanters and machine-made tumblers of glass, not cut nor decorated, n.o.p. . . .	15 p.c.
	(ii) Opal glassware, glass tableware, cut glassware and illuminating glassware, n.o.p.	10 p.c.
326a	Manufactures of glass, n.o.p.	10 p.c.
326e	Articles of glass, not plate or sheet, designed to be cut or mounted; articles of glassware, when imported by manufacturers of silverware to be used in receptacles made of, or electro-plated with, precious metals, in their own factories . . .	Free.
326g	High thermal shock-resisting glassware	Free.
339a	Lead capsules for bottles	Free.
340	Type for printing, including chases, quoins and slugs, of all kinds	7½ p.c.
341	Babbit metal and type metal, in blocks, bars, plates and sheets	10 p.c.
ex352 } ex427 } ex445k } ex446a } ex462 } ex352 } ex362 } ex519 } ex597a } ex624 } ex647 } et al. }	Fixed or stationary meters, of a size or capacity not made in Canada, for hydraulic engineering; gauges, indicators and recorders for water or other liquid levels, volume or flow, of a class or kind not made in Canada	Free.
353	Antiquities (other than spirits or wines) produced more than 100 years prior to date of importation, under such regulations, including proof of antiquity, as may be prescribed by the Minister . . .	Free.
	Aluminum and alloys thereof, crude or semi-fabricated, viz. :—pigs, ingots, blocks, notch bars, slabs, billets and blooms; bars, rods and wire; angles, channels, beams, tees and other rolled or drawn sections and shapes; pipes and tubes; plates, sheets and strips, including circles; leaf, n.o.p., or foil, less than .005 inch in thickness, plain or embossed, with or without backing; wire and cable, twisted or stranded, reinforced with steel or not; aluminum powder	Free.

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Tariff Item.	Article.	Rate of duty.
353a	Aluminum leaf, less than .005 millimetres in thickness; aluminum scrap Provided, that nothing shall be deemed to be aluminum scrap except waste or refuse aluminum, fit only to be re-melted.	Free.
354	Manufactures of aluminum, n.o.p.	15 p.c.
354a	Kitchen or household hollow-ware of aluminum, n.o.p.	20 p.c.
357	Britannia metal, nickel silver, Nevada and German silver, manufactures of, not plated, n.o.p.	15 p.c.
361	Gold and silver leaf; Dutch or schlag metal leaf; brocade and bronze powders	15 p.c.
362	Articles consisting wholly or in part of sterling or other silverware, n.o.p.; manufactures of gold or silver, n.o.p.	20 p.c.
362b	Toilet articles of all kinds, including atomizers, brushes, buffers, button hooks, combs, cuticle knives, hair receivers, hand-mirrors, jewel boxes, manicure scissors, nail files, perfume bottles, puff jars, shoe horns, trays and tweezers, of which the manufactured component material of chief value is sterling silver	17½ p.c.
362c	Nickel-plated ware, gilt or electro-plated ware, n.o.p.	17½ p.c.
368	Clocks, time recorders, clock movements, clockwork mechanisms, and clock cases	15 p.c.
369	Parts of clock movements or of clockwork mechanisms, finished or unfinished, not including plates	10 p.c.
370	Copper rollers, and stones, used in the printing of textile fabrics or wall paper	Free.
ex377a } et al. }	Wrought iron in the form of billets, bars, rods, sheets, strips, plates or skelp	Free.
377c	Ingots, cogged ingots, blooms, slabs, billets, n.o.p., of iron or steel, of a class or kind not made in Canada, when imported by manufacturers of forgings for use exclusively in the manufacture of forgings, in their own factories, under regulations prescribed by the Minister	Free.
ex378	Bars and rods, of iron or steel; billets, of iron or steel, weighing less than 60 pounds per lineal yard :— (b) Not further processed than hammered or pressed, n.o.p. (c) Cold rolled, drawn, reeled, turned or ground, n.o.p. (d) Hot rolled, valued at not less than 4 cents per pound, n.o.p.	10 p.c. 10 p.c. Free.
ex378a	Bars or rods, of iron or steel, hot rolled, viz. :— Rounds over 4½ inches in diameter and squares over 4 inches	Free.

Tariff Item.	Article.	Rate of duty.
ex379	Bars or rods, of iron or steel, including billets weighing less than 60 pounds per lineal yard, hot rolled, as hereunder defined, under regulations prescribed by the Minister :— (e) Bars of iron or steel, hot rolled, 5 inches in diameter and larger, when imported by manufacturers of polished shafting for use in their own factories - - - - (f) Sash or casement sections of iron or steel, hot or cold rolled, not punched, drilled nor further manufactured, when imported by manufacturers of metal window frames, for use in their own factories - -	Free. Free.
380	Plates of iron or steel, hot or cold rolled :— (a) Not more than 66 inches in width, n.o.p. per ton (b) More than 66 inches in width, n.o.p. - - (c) Flanged, dished or curved, n.o.p. - - (d) With chequer, diamond or other raised pattern on contact surface - - - -	\$4.25. Free. 5 p.c. Free.
ex381	Sheets, of iron or steel, hot or cold rolled :— (a) .080 inch or less in thickness, n.o.p. - -	7½ p.c.
382	Hoop, band or strip, of iron or steel :— (a) Hot rolled, .080 inch or less in thickness, n.o.p. - - - - (b) Hot rolled, more than .080 inch in thickness n.o.p. - - - - per ton (c) Cold rolled or cold drawn, .080 inch or less in thickness, n.o.p. - - - - (d) Cold rolled or cold drawn, more than .080 inch in thickness, n.o.p. - - - -	5 p.c. \$3.00. 7½ p.c. 12½ p.c.
383	Sheets, plates, hoop, band or strip, of iron or steel :— (a) Coated with tin, of a class or kind not made in Canada, n.o.p. - - - - (b) Coated with tin, n.o.p. - - - - (c) Coated with zinc, n.o.p. - - - - (d) Coated with metal or metals, n.o.p. - - (e) Coated with paint, tar, asphaltum or otherwise coated, n.o.p. - - - - (f) Coated with vitreous enamel, n.o.p. - - (g) Corrugated, coated or not - - - -	Free. Free. 7½ p.c. 5 p.c. 5 p.c. 10 p.c. 10 p.c.
385	Sheets, plates, hoop, band or strip, of iron or steel, hot rolled, valued at not less than five cents per pound, n.o.p. - - - -	Free.
385a	Sheets, plates, hoop, band or strip, of rust, acid or heat resisting steels, hot or cold rolled, polished or not, valued at not less than five cents per pound - - - -	Free.

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Tariff Item.	Article.	Rate of duty.
ex386	Sheets, plates, hoop, band or strip, of iron or steel, as hereunder defined, under regulations prescribed by the Minister :— (a) Plates, when imported by manufacturers for use exclusively in the manufacture or repair of the pressure parts of boilers, pulp digesters, steam accumulators and vessels for the refining of oil, in their own factories (h) Sheets, plates, hoop, band or strip, hardened, tempered or ground, not further manufactured than cut to shape, without indented edges, when imported by manufacturers of saws for use exclusively in the manufacture of saws, in their own factories (m) (i) Sheets of iron or steel, cold rolled, when imported by manufacturers for use exclusively in the manufacture of sheets coated with tin (ii) Sheets, hoop, band or strip, of iron or steel, hot rolled, when imported by manufacturers for use exclusively in the manufacture of sheets, hoop, band or strip, coated with zinc or other metal or metals, not including tin, in their own factories (p) Sheets of iron or steel, hot or cold rolled, with silicon content of .075 p.c. or more, when imported by manufacturers of electrical apparatus, for use in the manufacture of electrical apparatus in their own factories (q) Hoop steel, hot or cold rolled, plain or coated, .064 inch or less in thickness, not more than three inches in width, when imported by manufacturers of barrels or kegs or by manufacturers of flat hoops for barrels and kegs, for use exclusively in their own factories	Free. Free. Free. Free. 5 p.c. Free. Free.
387c	Steel grooved (or girder) rails for electric tramway use, weighing not less than 75 pounds per lineal yard, punched, drilled, or not, of shapes and lengths not made in Canada	Free.
388	Iron or steel angles, beams, channels, columns, girders, joists, tees, zeos and other shapes or sections, not punched, drilled or further manufactured than hot rolled, weighing not less than 35 pounds per lineal yard, n.o.p.; piling of iron or steel, not punched or drilled, weighing not less than 35 pounds per lineal yard, including interlocking sections, if any, used therewith, n.o.p. . .	Free.

Tariff Item.	Article.	Rate of duty.
388b	Iron or steel angles, beams, channels, columns, girders, joists, tees, zees and other shapes or sections, not punched, drilled or further manufactured than hot rolled, n.o.p.; piling of iron or steel, not punched or drilled, including interlocking sections, if any, used therewith, n.o.p. per ton	\$4.00.
388d	Iron or steel angles, beams, channels, columns, girders, joists, piling, tees, zees and other shapes or sections, punched, drilled or further manufactured than hot rolled or cast, n.o.p. - - -	20 p.c.
388e	Iron or steel side or centre sill sections, of all sizes not manufactured in Canada, weighing not less than 35 pounds per lineal yard, not punched, drilled or further manufactured, when imported by manufacturers of railway cars, for use in their own factories - - - - -	Free.
390c	Piston ring castings of steel, in the rough as from the moulds - - - - -	Free.
392	Forgings, of iron or steel, in any degree of manufacture, n.o.p. - - - - -	17½ p.c.
ex392 } 392a }	Forgings of iron or steel, in any degree of manufacture, hollow, machined or not, not less than 12 inches in internal diameter; and all other forgings, solid or otherwise, in any degree of manufacture, of a weight of 20 tons or over - - -	Free.
393	Tires, of steel, in the rough, not drilled or machined in any manner, for railway vehicles, including locomotives and tenders - - - - -	Free.
ex394	Axles and axle bars, n.o.p., and axle blanks, and parts thereof, of iron or steel :— (a) For railway vehicles, including locomotives and tenders - - - - -	7½ p.c.
396	Pipe, cast, of iron or steel, valued at not more than five cents per pound - - - - - per ton	\$5.00.
396a	Pipe, cast, of iron or steel, n.o.p. - - - - -	Free.
ex397	Pipes and tubes, of wrought iron or steel, plain or coated :— (c) Not joined, with plain ends, not more than 2½ inches in diameter, n.o.p. - - - - - (d) N.o.p. - - - - -	5 p.c. 12½ p.c.
ex397b } 398a }	Pipes and tubes of iron or steel, seamless, cold drawn, plain ends, polished, valued at not less than five cents per pound; steel tubes, welded or seamless, more than 10½ inches in diameter, with plain ends, when imported for use exclusively in the manufacture or repair of rolls for paper-making machinery - - - - -	Free.

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Tariff Item.	Article.	Rate of duty.
401	Wire, of iron or steel :— (a) Barbed fencing, coated or not - - - (b) Twisted, braided or stranded, including wire rope or cable, coated or not, n.o.p. - (c) Drawn flat or cold rolled flat after drawing, coated or not, n.o.p., not more than .25 inch in width and less than .1875 inch in thickness - - - (d) Coated with zinc or spelter, curved or not, in coils, .144, .104, or .092 inch in diameter, with tolerance not to exceed .004 inch, and not for use in telegraph or telephone lines, n.o.p. - - - (e) Coated with zinc or spelter, n.o.p. - - - (f) Single or several, coated, n.o.p., or covered with any material, including cable so covered - - - (g) N.o.p. - - -	Free. 15 p.c. 7½ p.c. Free. 10 p.c. 15 p.c. 15 p.c.
402a	Woven or welded wire fencing, of iron or steel, coated or not, n.o.p.; wire cloth or wire netting, of iron or steel, coated or not - - -	20 p.c.
402b	Woven netting, of iron or steel, coated, made from wire of 17 gauge or heavier, with meshes not smaller than one inch and not larger than two inches, with specially strengthened joints, when for use exclusively on fur farms, under regulations prescribed by the Minister - - -	12½ p.c.
406	Coil chain, coil chain links, including repair links, and chain shackles, of iron or steel :— (a) One and one-eighth inches in diameter and over - - - (b) Less than one and one-eighth inches in diameter - - -	Free. 15 p.c.
407	Silent chain and finished roller chain, of iron or steel and complete parts thereof, of a class or kind not made in Canada, n.o.p., either chain of the type which operates over gears or sprockets with machine cut teeth - - -	Free.
407a	Chains, of iron or steel, n.o.p., and complete parts thereof - - -	15 p.c.
408	Malleable sprocket chain and link belting chain of iron or steel, including roller chain of all kinds for operating on steel sprockets or gears, when imported by manufacturers of agricultural implements for use exclusively in the manufacture of agricultural implements, in their own factories, under regulations prescribed by the Minister - - -	Free.
409	Cream separators and complete parts therefor, including steel bowls - - -	Free.
409m	Internal combustion traction engines; traction attachments designed to be combined with automobiles in Canada for use as traction engines; complete parts of all the foregoing - - -	Free.

Tariff Item.	Article.	Rate of duty.
410b	Machinery and apparatus for use exclusively in washing or dry cleaning coal at coal mines or coke plants; machinery and apparatus for use exclusively in producing coke and gas; machinery and apparatus for use exclusively in the distillation or recovery of products from coal tar or gas; and complete parts of all the foregoing, not to include motive power, tanks for gas, nor pipes and valves 10½ inches or less in diameter - -	Free.
410l	Ore crushers, rock crushers, stamp mills, grinding mills, rock drills, percussion coal cutters, coal augers, rotary coal drills, n.o.p., and complete parts of all the foregoing, for use exclusively in mining metallurgical or quarrying operations.	5 p.c.
410n	Diamond drills and core drills, not including motive power, electrically operated rotary coal drills, and coal cutting machines, n.o.p., and integral parts of the foregoing, for use exclusively in mining operations - - - -	Free.
410u	Blowers, of iron or steel, n.o.p., for use in the smelting of ores, or in reduction, separation or refining of metals, ores or minerals; rotary kilns, revolving roasters and furnaces of metal, n.o.p., for use in the roasting of ore, mineral, rock or clay; furnace slag trucks and slag pots, n.o.p.; and integral parts of all the foregoing -	12½ p.c.
410z	Machinery and apparatus, n.o.p., and complete parts thereof, for the recovery of solid or liquid particles from flue or other waste gases at metallurgical or industrial plants, not to include motive power, tanks for gas, nor pipes and valves 10½ inches or less in diameter - -	5 p.c.
412b	Flat bed cylinder printing presses, to print sheets of a size 25 by 38 inches or larger, and complete parts thereof; machines designed to fold or sheet-feed paper or cardboard, and complete parts thereof - - - -	Free.
412d	Offset presses; lithographic presses; printing presses and typemaking accessories therefor, n.o.p.; complete parts of the foregoing, not to include saws, knives and motive power - -	Free.
414	Typewriters and complete parts thereof - -	Free.
414c	Adding, bookkeeping, calculating and invoicing machines and complete parts thereof, n.o.p. -	Free.
415	Electric vacuum cleaners and attachments therefor; hand vacuum cleaners; and complete parts of all the foregoing, including suction hose, n.o.p. -	5 p.c.
415d	Sewing machines, with or without motive power incorporated therein; complete parts of sewing machines - - - -	5 p.c.
422	Street or road rollers and complete parts thereof -	Free.
424	Fire engines and other fire extinguishing machines; chassis for same; complete parts other than chassis parts - - - -	Free.
425	Lawn mowers - - - -	10 p.c.

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Tariff Item.	Article.	Rate of duty.
427	All machinery composed wholly or in part of iron or steel, n.o.p., and complete parts thereof - -	10 p.c.
ex427 } ex446a } et al. }	Motion picture projectors, arc lamps for motion picture work, motion picture or theatrical spot lights, light effect machines, motion picture screens, portable motion picture projectors complete with sound equipment; complete parts of all the foregoing, not to include electric light bulbs, tubes, or exciter lamps - - - - -	Free.
427a	All machinery composed wholly or in part of iron or steel, n.o.p., of a class or kind not made in Canada; complete parts of the foregoing - -	Free.
427b	Ball and roller bearings - - - - -	Free.
427c	Machinery for dairying purposes, viz.:—power churns, power milk coolers, power fillers and cappers, power ice cream mixers, power butter printers, power cream savers, power bottle sterilizers, power brine tanks, power milk bottle washers, power milk can washers; ice-breaking machines, valveless or centrifugal milk pumps, sanitary milk and cream vats; none of the foregoing machinery to include motive power - -	Free.
427d	Machines designed for making rigid composite box ends of wood—consisting of a centre with separate nailing edges attached—from scrap or waste mill stock, and complete parts thereof, not to include motive power - - - - -	Free.
427e	Automatic machines for making and packaging cigarettes, not to include tobacco preparing machines - - - - -	Free.
428d	Magnetos and complete parts thereof, when imported by manufacturers of internal combustion engines, for use exclusively in the manufacture of such internal combustion engines, in their own factories - - - - -	Free.
8e	Diesel and semi-diesel engines, and complete parts thereof, n.o.p. - - - - -	Free.
428f	Air-cooled internal combustion engines of not greater than 1½ h.p. rating, and complete parts thereof - - - - -	Free.
ex429	Cutlery of iron or steel, plated or not:— (b) Table knives and table forks - - - - - (c) Penknives, jack-knives and pocket knives all kinds - - - - - (d) Knives, n.o.p. - - - - - (e) Spoons - - - - - (f) Scissors and shears, n.o.p. - - - - - (g) Razor blades; razors and complete parts thereof - - - - -	15 p.c. Free. 15 p.c. Free.
430	Nuts and bolts with or without threads, washers, rivets, of iron or steel, coated or not, n.o.p.; nut and bolt blanks, of iron or steel, per one hundred pounds and	25 cts. 7½ p.c.

Tariff Item.	Article.	Rate of duty.	A.D. 1937. — 1st Sch. —cont.
430a	Hinges and butts, of iron or steel, coated or not, n.o.p.; hinge and butt blanks, of iron or steel, per one hundred pounds and	75 cts. 5 p.c.	
ex431b	Adzes, anvils, vises, cleavers, hatchets, saws, augers, bits, drills, screw-drivers, planes, spokeshaves, chisels, mallets, metal wedges, wrenches, sledges, hammers, crowbars, cantdogs, and track tools, picks, mattocks, and eyes or polls for the same -	10 p.c. Free.	
ex431b	Files and rasps - - - - -	Free.	
431c	Machinists' or metal workers' precision tools and measuring instruments, viz.:—Calipers, micro- meters, metal protractors and squares, bevels, verniers, gauges, gauge blocks, parallels, buttons, mercury plumb bobs, dividers, trammels, scribes, center punches, pocket speed indicators, straight edges, key seat clamps and other clamps and vises used by toolmakers for precision work, precision tools and measuring instruments, n.o.p. - - -	Free.	
431d	Engineers', surveyors' and draughtsmen's precision instruments and apparatus, viz.:—Alidades; altazimuth surveying instruments; aneroid barometers, engineering, military and surveying; angle prisms; boards, military sketching; box sextants; clinometers; compasses; cross staff heads; curves, adjustable, irregular, railroad and ship; curvimeters; drafting instruments of all kinds, including fitted cases containing the same; dipping needles; drafting machines; heliographs; integrators; levels, tripod and hand or pocket types; levelling rods; liners, section; meters, portable, for hydraulic engi- neering; pantographs; planimeters; protract- ors; parallel rulers; parallel ruling attach- ments; poles, ranging; pedometers and paceo- meters; plane tables, military and topographic; scales, flat and triangular; slide rules; splines; straight edges, steel and wooden; tacheometers; tallying machines, pocket; tee squares, steel and wooden; telemeters; theodolites; transits, tripod and hand or pocket types; triangles of all types; tripods for use with any of the foregoing instruments - - - - -	Free. 15 p.c.	
431e	Measuring rules and tapes of all kinds - - -	15 p.c.	
432	Hollow-ware, of iron or steel, coated or not, n.o.p. -	10 p.c.	
432a	Kitchen and dairy hollow-ware of iron or steel, coated with tin, including cans for shipping milk or cream, not painted, japanned or decorated -	15 p.c.	
432b	Hollow-ware, of iron or steel, coated with vitreous enamel - - - - -	17½ p.c.	
432d	Manufactures of tinplate, painted, japanned, decorated or not, and manufactures of tin, n.o.p.	15 p.c.	

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Tariff Item.	Article.	Rate of duty.
ex432d } ex339 }	Collapsible tubes of lead or tin or lead coated with tin - - - - -	10 p.c.
433	Baths, bathtubs, basins, closets, lavatories, urinals, sinks, and laundry tubs of iron or steel, coated or not - - - - -	5 p.c.
ex434 } 434a }	Motor rail cars or units for use on railways, and chassis for same; complete parts of the foregoing	Free.
434b } ex438 }	Steel wheels for use on railway rolling stock - -	7½ p.c.
ex435	Locomotives and motor cars for railways, of a class or kind not made in Canada, and complete parts thereof, for use exclusively in mining or metallurgical operations - - - - -	Free.
ex438a	Automobiles and motor vehicles of all kinds, n.o.p.; chassis for the foregoing - - - Provided, that machines or other articles mounted on the foregoing or attached thereto for purposes other than for loading or unloading the vehicle shall be valued separately and duty assessed under the tariff items regularly applicable thereto.	Free.
ex438 } ex438a } ex711 } 438b }	Electric trackless trolley buses and chassis for same; complete parts of the foregoing - - Bearings, clutch release; bearings, graphite; bearings, steel backed non-ferrous; bushings, graphited or oil impregnated; ceramic insulator spark plug cores, not further manufactured than burned and glazed, printed or decorated or not, without fittings; commutator copper segments; commutator insulating end rings; discs of hot rolled steel, spun or forged, with or without centre hole, for disc wheels; distributor rotors, cam assemblies and vacuum control assemblies; door bumper shoes; electric wiring terminals, sockets, fittings and connectors; gaskets of metal and asbestos, composite; ignition contact points; keys for shafting; lenses for head, tail, dome, signal and cowl or parking lamps; lock washers; piston ring castings in the rough, with or without gates and fins removed; steel bolts capped with stainless steel; switches for lamps, and parts thereof; vulcanized fibre in sheets, rods, strips and tubing; all the foregoing being of a class or kind not made in Canada, when for use in the manufacture of the automobiles, motor vehicles or chassis enumerated in tariff items 438a and 424, or for use in the manufacture of parts thereof, or for the replacement or repair of automobiles, motor vehicles or chassis enumerated in tariff items 438a and 424 - -	Free.

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Tariff Item.	Article.	Rate of duty.
438e	Parts, n.o.p., for automobiles, motor vehicles or chassis enumerated in tariff items 438a and 424, not to include wireless receiving sets, die castings of zinc, electric storage batteries, parts of wood, tires and tubes or parts of which the component material of chief value is rubber :— (1) Brake linings and clutch facings whether or not including metallic wires or threads :— (a) when made from crude asbestos of Empire origin - - - - - (b) when made from crude asbestos of non-Empire origin - - - - - (2) Automobile and motor vehicle engines, stripped, n.o.p., and complete parts thereof, n.o.p. - - - - - (3) Parts, n.o.p., not electro-plated, whether finished or not - - - - -	Free. 15 p.c. Free. Free.
438f	Hot rolled strip of iron or steel with rolled or mill edge, not being of greater value than 2½ cents per pound, of a class or kind not made in Canada, when imported by manufacturers of automobiles, motor vehicles or chassis enumerated in tariff items 438a and 424 or by manufacturers of parts of automobiles, motor vehicles or chassis enumerated in tariff items 438a and 424 to be used in the manufacture of such automobiles, motor vehicles or chassis, or parts thereof, in their own factories	Free.
438g	Motor cycles or side cars therefor, and complete parts of the foregoing - - - - -	Free.
438h	Annular ball bearings and parts thereof, when imported for use only as original equipment in the manufacture of goods enumerated in tariff items 438a and 424, under regulations prescribed by the Minister - - - - -	Free.
439f	Children's carriages, sleds and other vehicles; complete parts of all the foregoing - - - - -	15 p.c.
440j	Trawls, trawling spoons, fly hooks, sinkers, swivels, sportsmen's fishing reels, bait, hooks, and fishing tackle, n.o.p. - - - - -	Free.
440l	Aircraft and complete parts thereof, not including engines, under regulations prescribed by the Minister - - - - -	Free.
440m	Engines and complete parts thereof, when imported for use only in the equipment of aircraft - - - - -	Free.
440n	Complete parts for repair of engines enumerated in tariff item 440m - - - - -	Free.
441e	Guns and rifles of a class or kind not made in Canada	5 p.c.
445c	(i) Electric telegraph apparatus and complete parts thereof - - - - - (ii) Electric telephone apparatus and complete parts thereof - - - - -	Free. 10 p.c.
445d	Electric wireless or radio apparatus and complete parts thereof - - - - -	Free.

Tariff Item.	Article.	Rate of duty.
445f	Electric dynamos or generators and transformers, and complete parts thereof, n.o.p. - - -	15 p.c.
445g	Electric motors, and complete parts thereof, n.o.p.	15 p.c.
ex445k	Electrical instruments and apparatus of precision of a class or kind not made in Canada, viz.:—meters or gauges for indicating and/or recording altitude, amperes, comparisons, capacity, density, depth, distance, electrolysis, flux, force, frequency, humidity, inductance, liquid levels, ohms, operation, power factor, pressure, space, speed, stress, synchronism, temperature, time, volts, volume, watts; complete parts thereof - - -	Free.
445l	Electric storage batteries, composed of plates measuring not less than eleven inches by fourteen inches and not less than three-quarters inch in thickness; complete parts thereof - - -	Free.
445m	Flame proof electric switch gear, for use underground in coal mines, and complete parts thereof	Free.
446	Electric steam turbo generator sets, 700 h.p. and greater, of a class or kind not made in Canada, and complete parts thereof - - -	Free.
446a	Manufactures, articles or wares, of iron or steel or of which iron or steel or both are the component materials of chief value, n.o.p. - - -	10 p.c.
ex446a	Cellulose acetate film reinforced with wire mesh -	Free.
ex446a et al.	Electric welding apparatus, not including motors -	10 p.c.
446b	Steel bicycle rims, not enamelled nor plated -	Free.
446c	Golf shafts of seamless steel, coated or not, but not chromium plated - - -	Free.
446d	Bottles or cylinders of seamless steel used as high-pressure containers for gas - - -	Free.
451	Buckles, clasps, eyelets, hooks and eyes, dome, snap or other fasteners of iron, steel, brass or other metal, coated or not, n.o.p. (not being jewellery)	15 p.c.
451a	(i) Spring-beard needles and latch needles - -	10 p.c.
	(ii) Needles, of any material or kind, n.o.p. - -	10 p.c.
451b	Pins manufactured from wire of any metal, n.o.p. -	17½ p.c.
462	Philosophical, photographic, mathematical and optical instruments, n.o.p.; speedometers, cyclometers and pedometers, n.o.p.; complete parts of all the foregoing - - -	7½ p.c.
465	Signs of any material other than paper, framed or not; letters and numerals of any material other than paper - - -	10 p.c.
469	Machine card clothing - - -	10 p.c.
471a	Pressed steel belt pulleys, for power transmission, and finished or unfinished parts thereof, including interchangeable bushings - - -	Free.
475b	Matrices for stereotypes, electrotypes and celluloids described in item 475a - - -	Free.
476	Surgical and dental instruments of any material; surgical needles; X-ray apparatus; microscopes valued at not less than \$50 each, by retail; and complete parts of all the foregoing - - -	Free.

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Tariff Item.	Article.	Rate of duty.
488	Nitrate and acetate of lead, not ground; platinum and black oxide of copper, for use in the manufacture of chlorates and colours	Free.
506b	Wooden doors of a height and width not less than 6 feet and 2 feet, respectively	Free.
ex511	Fishing rods	Free.
511a	Cricket bats, balls, gloves and leg guards . .	Free.
512	Picture frames and photograph frames, of any material	17½ p.c.
518	Billiard tables, with or without pockets, and bagatelle and other game tables or boards, cues, balls, cue-racks and cue tips	17½ p.c.
519	House, office, cabinet or store furniture of wood, iron or other material, in parts or finished .	15 p.c.
522	Rovings, yarns and warps, wholly of cotton, not more advanced than singles, n.o.p. . . .	12½ p.c.
522c	Rovings, yarns and warps, wholly of cotton, including threads, cords and twines generally used for sewing, stitching, packaging and other purposes, n.o.p.; cotton yarns, wholly or partially covered with metallic strip, generally known as tinsel thread	15 p.c.
522d	Yarns and warps, wholly of cotton, mercerized, number forty and finer, imported, under regulations prescribed by the Minister, for sale to manufacturers, to be further manufactured in their own factories	Free.
522f	Yarns and warps, wholly of cotton, number forty and finer, when imported by manufacturers of mercerized cotton yarns, for use exclusively in the manufacture of mercerized cotton yarns, in their own factories	Free.
523	Woven fabrics, wholly of cotton, not bleached, mercerized, nor coloured, n.o.p., and seamless cotton bags	15 p.c.
523a	Woven fabrics, wholly of cotton, bleached or mercerized, not coloured, n.o.p. . . .	20 p.c.
523b	Woven fabrics, wholly of cotton, printed, dyed or coloured, n.o.p. . . .	20 p.c.
ex523b	Shadow cretonnes, wholly of cotton, with printed warp and plain weft	12½ p.c.
ex523b	Gabardines, wholly of cotton, with not less than 280 ends and picks of ply yarn per square inch	12½ p.c.
ex523	Woven fabrics, wholly of cotton, composed of yarns of counts of not less than 80 and not more than 99, including all such fabrics in which the average count of the warp and weft yarns is not less than 80 and not more than 99	12½ p.c.
ex523a		
ex523b		
523c	Woven fabrics, wholly of cotton, composed of yarns of counts of 100 or more, including all such fabrics in which the average of the count of the warp and weft yarns is 100 or more	Free.
523e	Woven fabrics wholly of cotton with cut pile, n.o.p.	15 p.c.

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Tariff Item.	Article.	Rate of duty.
ex523e } ex561 } 523f	Fabrics with cut weft pile, wholly of cotton or of cotton and artificial silk - - - - -	5 p.c.
525	Woven fabrics of cotton, not coloured, when imported by manufacturers of typewriter ribbon for use exclusively in the manufacture of such ribbon in their own factories - - - - -	Free.
528	Woven fabric, wholly of cotton, specially treated and glazed, when imported by rubber manufacturers for use, in their own factories, exclusively as a detachable protective covering for uncured rubber sheeting - - - - -	Free.
529	White cotton bobinet plain, in the web - - -	Free.
529a	Embroideries, lace, nets, nettings, bobinet, n.o.p., fringes and tassels, wholly of cotton - - -	20 p.c.
530	Lace and embroideries, wholly of cotton, not coloured, imported by manufacturers for use exclusively in the manufacture of clothing, in their own factories - - - - -	7½ p.c.
532	Lace and embroideries, wholly of cotton, coloured, imported by manufacturers for use exclusively in the manufacture of clothing, in their own factories - - - - -	7½ p.c.
ex532	Clothing, wearing apparel and articles, made from woven fabrics, and all textile manufactures, wholly or partially manufactured, composed wholly of cotton, n.o.p.; fabrics wholly of cotton, coated or impregnated, n.o.p. - - - - -	25 p.c. 15 p.c.
ex532	Handkerchiefs, wholly of cotton - - - - -	15 p.c.
537	Woven fabric, wholly of cotton, for covering books - - - - -	15 p.c.
537a	Rovings, yarns and warps, wholly or in part of vegetable fibres, not more advanced than singles, n.o.p., not to contain silk, artificial silk nor wool - - - - -	12½ p.c.
537b	Rovings, yarns and warps, wholly or in part of vegetable fibres, including yarn twist, cords and twines generally used for packaging and other purposes, n.o.p., not to contain silk, artificial silk nor wool - - - - -	17½ p.c.
537d	Linen thread, for hand or machine sewing - - -	Free.
537e	Rovings, yarns and warps, wholly of jute, not more advanced than singles, n.o.p., not to contain silk, artificial silk nor wool - - - - -	Free.
539	Rovings, yarns and warps, wholly of jute, including yarn twist, cords and twines generally used for packaging and other purposes, n.o.p. - - -	25 p.c.
ex540	Cordage, exceeding one inch in circumference, wholly of vegetable fibres, n.o.p. - - - - -	17½ p.c.
	(a) Woven fabrics, in the web, wholly of flax or hemp, not to include towelling and glass cloth of crash or huck, with or without lettering or monograms woven in, nor table cloths and napkins of crash with coloured borders - - -	Free.

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Tariff Item.	Article.	Rate of duty.
ex540	(b) Articles wholly of flax or hemp, such as sheets, pillow cases, table cloths and napkins, towels and handkerchiefs, but not to include towels or glass cloths of crash or huck, with or without lettering or monograms woven in, nor table cloths and napkins of crash with coloured borders	Free.
541a	Woven fabrics, wholly of jute, n.o.p.	Free.
541d	Canvas in the web, wholly of flax or hemp, or both, plain woven, not coloured, not further manufactured than impregnated with weather-proofing or preservative materials, suitable for manufacturing into tents, awnings, tarpaulins, hatch covers and similar articles, weighing not less than 18 ounces and not more than 26 ounces per square yard	15 p.c.
542	Woven fabrics, wholly or in part of vegetable fibres, and all such fabrics with cut pile, n.o.p., not containing silk, artificial silk nor wool	20 p.c.
542a	Woven or braided fabrics not exceeding twelve inches in width, wholly or in part of vegetable fibres, n.o.p., not to contain silk, artificial silk nor wool	22½ p.c.
542b	Linen fire-hose, lined or unlined	15 p.c.
547	Bags or sacks of hemp, linen or jute	15 p.c.
548	Clothing, wearing apparel and articles, made from woven fabrics, and all textile manufactures, wholly or partially manufactured, composed wholly or in part of vegetable fibres but not containing wool, n.o.p.; fabrics, coated or impregnated, composed wholly or in part of vegetable fibres but not containing silk, artificial silk nor wool, n.o.p.	25 p.c.
ex548	Woven dress linens containing not more than 15 p.c. by weight of cotton yarns for decorative effect	Free.
549c	Haircloth, composed of horse hair in combination with any vegetable fibre	17½ p.c.
551	Yarns, composed wholly or in part of wool or hair but not containing silk or artificial silk, n.o.p. and, per pound	15 p.c. 6 cts.
551a	Yarns and warps composed wholly of wool or in part of wool or hair, imported by manufacturers for use exclusively in their own factories, n.o.p. and, per pound	10 p.c. 5 cts.
551c	Yarns and warps, composed wholly of hair, or of hair and any vegetable fibre, imported by manufacturers for use in their own factories	Free.
552	Felt, pressed, of all kinds, in the web, not consisting of or in combination with any woven, knitted or other fabric or material and, per pound	15 p.c. 5 cts.
553	Blankets of any material, not to include automobile rugs, steamer rugs, or similar articles and, per pound	20 p.c. 5 cts.

Tariff Item.	Article.	Rate of duty.
554	Woven fabrics, composed wholly or in chief part by weight of yarns of wool or hair, not exceeding in weight six ounces to the square yard, n.o.p., when imported in the gray or unfinished condition, for the purpose of being dyed or finished in Canada - - - - - and, per pound	17½ p.c. 7½ cts.
554a	Woven fabrics, consisting of cotton warps with wefts of lustre wool, mohair or alpaca, generally known as lustres or Italian linings, n.o.p. - - -	Free.
554b	Woven fabrics, composed wholly or in part of yarns of wool or hair, n.o.p. - - - - - and, per pound Provided, however, that the sum of the specific and <i>ad valorem</i> duties imposed by this item on imports under the British Preferential Tariff shall not be in excess of 50 cents per pound.	22½ p.c. 12 cts.
ex 554b	Filter press cloth of wool - - - - -	20 p.c.
554c	Woven fabrics, composed wholly or in chief part by weight of yarns of wool or hair, not exceeding in weight four ounces to the square yard, when imported in the gray or unfinished condition, for the purpose of being dyed or finished in Canada	Free.
554f	Woven fabrics, composed wholly or in part of yarns of wool or hair, commonly known as billiard cloth	Free.
555	Clothing, wearing apparel and articles made from woven fabrics, and all textile manufactures, wholly or partially manufactured, composed wholly or in part of wool or similar animal fibres, but of which the component of chief value is not silk nor artificial silk, n.o.p.; fabrics, coated or impregnated, composed wholly or in part of yarns of wool or hair, but not containing silk nor artificial silk, n.o.p. - - - - -	30 p.c.
556a	Melton cloth, imported by manufacturers of tennis balls for use in the manufacture of tennis balls, in their own factories - - - - -	Free.
556b	Slipper cloth, woven, napped on one or both sides, wholly or in part of wool, not to contain silk or artificial silk, weighing not less than 22 ounces per square yard, when imported by manufacturers of indoor footwear, to be used exclusively in the manufacture of such articles in their own factories	Free.
557b	Garnetted material wholly of silk, artificial silk or similar synthetic fibres, produced by chemical processes, obtained by disintegrating cocoons, yarns or fabrics, prepared for use; filaments or loose fibres wholly of silk, artificial silk or similar synthetic fibres produced by chemical processes, not more advanced than in the form of sliver; waste portions of unused fabrics, wholly of silk, artificial silk or similar synthetic fibres, n.o.p., not to include remnants nor mill ends - - -	Free.

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Tariff Item.	Article.	Rate of duty.
558b	Rovings, yarns and warps, wholly of artificial silk or similar synthetic fibres, produced by chemical processes, not more advanced than singles, not coloured, with not more than seven turns to the inch, under such regulations as the Minister may prescribe :— (a) Produced from cellulose acetate - - (b) n.o.p. - -	5 p.c. 20 p.c.
558c	Rovings, yarns and warps, wholly or in part of silk, n.o.p., including threads, cords or twist for sewing, embroidering or other purposes - -	15 p.c.
558d	Rovings, yarns and warps, wholly or in part of artificial silk or similar synthetic fibres, produced by chemical processes, n.o.p., including threads, cords or twist for sewing, embroidering or other purposes, not to contain silk; artificial silk yarns, wholly or partially covered with metallic strip, one pound of which shall contain not less than 10,000 yards; under such regulations as the Minister may prescribe :— (a) Produced wholly from cellulose acetate - (b) n.o.p. - -	7½ p.c. 25 p.c.
558f	Rovings, yarns and warps, wholly of spun artificial silk or similar synthetic fibres, produced by chemical processes, not coloured, imported by manufacturers, for use exclusively in the manufacture of cut-pile fabrics, in their own factories	Free.
560a	Woven fabrics wholly or in part of silk, not to contain wool, not including fabrics in chief part by weight of artificial silk, n.o.p. - -	22½ p.c.
561	Woven fabrics wholly or in part of artificial silk or similar synthetic fibres, produced by chemical processes, not to contain wool, not including fabrics in chief part by weight of silk, n.o.p. -	27½ p.c.
565	Embroideries, lace, braids, cords, chenille, gimp, fringes and tassels, whether containing tinsel or not, nets, nettings and bobinet, n.o.p. - -	22½ p.c.
ex565	Plaited or braided lines and cords, non-elastic, whether of tubular or of solid construction, not exceeding one inch in circumference, wholly or in chief part by weight of vegetable fibres - -	17½ p.c.
567	Clothing, wearing apparel and articles, made from woven fabrics and all textile manufactures, wholly or partially manufactured, n.o.p., of which silk is the component of chief value - -	27½ p.c.
567a	Clothing, wearing apparel and articles, made from woven fabrics and all textile manufactures, wholly or partially manufactured, n.o.p., of which the component of chief value is artificial silk or similar synthetic fibres produced by chemical processes - -	25 p.c.
568	Knitted garments, knitted underwear and knitted goods, n.o.p. - -	20 p.c.

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Tariff Item.	Article.	Rate of duty.
568a	Socks and stockings :— (i) of wool - - - - - and, per dozen pairs	20 p.c. 30 cts. 20 p.c. 20 p.c.
568b	Gloves and mitts of all kinds, n.o.p. - - - - -	20 p.c.
572	Oriental and imitation Oriental rugs or carpets and carpeting, carpets and rugs, n.o.p. - - -	30 p.c.
573	Enamelled carriage, floor, shelf and table oilcloth, linoleum, and cork matting or carpets - - -	15 p.c.
578	Regalia, badges and belts of all kinds, n.o.p. - - -	22½ p.c.
586	Coal, anthracite, n.o.p. - - - - -	Free.
597a	Musical instruments of all kinds, n.o.p.; phonographs, graphophones, gramophones and finished parts thereof, including cylinders and records therefor; and mechanical piano and organ players - - - - -	15 p.c.
598	Brass band instruments, n.o.p.; parts of pianofortes and parts of organs - - - - -	Free.
598a	Brass band instruments, of a class or kind not made in Canada; bagpipes and complete parts - - -	Free.
603	Fur skins, wholly or partially dressed, n.o.p. - - -	10 p.c.
ex604	Belting leather in butts or bends; and all leather further finished than tanned, n.o.p. - - - - -	7½ p.c.
ex604	Crust oil leather, for use in manufacturing chamois leather - - - - -	Free.
ex604	Sole leather - - - - -	12½ p.c.
605	Leather produced from East India tanned kip, uncoloured or coloured other than black, when imported for use exclusively in lining boots and shoes; genuine reptile leathers - - - - -	Free.
605a	Genuine pig leathers and genuine Morocco leathers; so-called roller leathers - - - - -	Free.
607	Leather, when imported by manufacturers of gloves or leather clothing, for use exclusively in manufacturing gloves or leather clothing, in their own factories - - - - -	Free.
607a	Leather, not further finished than tanned, in whole hides, in grains, or splits, when imported by manufacturers of upholstering leathers, for use exclusively in the manufacture of upholstering leathers, in their own factories - - - - -	Free.
608	Leather, not further finished than tanned, and skins, n.o.p. - - - - -	5 p.c.
610 } et al. }	Belting, n.o.p. - - - - -	15 p.c.
610a	Belting of camel's hair, for machinery - - - - -	7½ p.c.
611a	Boots, shoes, slippers and insoles of any material, n.o.p. - - - - -	22½ p.c.
ex612	English type saddles - - - - -	10 p.c.
617	India-rubber boots and shoes - - - - -	Free.
619a	India-rubber clothing and clothing made from waterproofed cotton fabrics - - - - -	25 p.c.
622	Trunks, valises, hat boxes, carpet bags, tool bags, and baskets of all kinds, n.o.p. - - - - -	15 p.c.

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Tariff Item.	Article.	Rate of duty.
623	Musical instrument cases and fancy cases or boxes of all kinds, portfolios and fancy writing desks, satchels, reticules, card cases, purses, pocket-books, fly books and parts thereof - - -	15 p.c.
ex 624	Statues and statuettes of porcelain or earthenware	Free.
624a	(i) Dolls; toys of all kinds, n.o.p. - - -	10 p.c.
	(ii) Mechanical toys of metal - - -	10 p.c.
624a	(iii) Juvenile construction sets of metal, consisting of various stampings, punched, and connections therefor; parts of the foregoing - - -	Free.
625	Caps, hats, muffs, tippets, capes, coats and cloaks of fur, and other manufactures of fur, n.o.p. -	15 p.c.
628	Braces or suspenders, and finished parts thereof -	15 p.c.
647	Jewellery of any material, for the adornment of the person, n.o.p. - - -	25 p.c.
653	Brushes of all kinds - - -	15 p.c.
655	Pens, penholders and rulers, of all kinds - -	12½ p.c.
655a	Lead pencils and crayons - - -	10 p.c.
656	Tobacco pipes of all kinds, pipe mounts, cigar and cigarette cases, cigar and cigarette holders, and cases for the same, smokers' sets and cases therefor, and tobacco pouches - - -	17½ p.c.
ex 657a	Film of standard width (one and one-eighth of an inch and over) when imported for the sole purpose of having 16 millimetre reproductions made therefrom and provided that the original is re-exported within three months from date of importation - - -	Free.
659	Photographic dry plates - - -	15 p.c.
663	Fertilizers, compounded or manufactured, n.o.p. -	Free.
663e	Sea-weeds or sea-plants, charred, whether powdered or not, for use exclusively in the feeding of animals - - -	Free.
670	Grinding wheels, stones or blocks, manufactured by the bonding together of either natural or artificial abrasives; manufactures of emery or of artificial abrasives, n.o.p. - - -	10 p.c.
683	Barytes - - -	Free.
684	Rubber thread, not covered - - -	Free.
685	Pantographs and parts thereof, including diamond points, and engraving mills, for engraving copper rollers used in printing textiles and wallpapers; blankets, blanketing and lapping imported for use exclusively by textile manufacturers and wall-paper printers - - -	Free.
689	Charcoal, animal, for use in the refining of sugar -	Free.

Tariff Item.	Article.	Rate of duty.
ex 710	Coverings, inside and outside, used in covering or holding goods imported therewith, shall be subject to the following provisions, viz. :— (b) Usual coverings containing goods, not machinery, subject to any <i>ad valorem</i> duty, when not included in the invoice value of the goods they contain (bb) Usual coverings containing machinery subject to any <i>ad valorem</i> duty, when not included in the invoice value of the goods they contain	10 p.c. 5 p.c.
ex 711	Iodised mineral salts, for use exclusively in the feeding of animals	Free.

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SCHEDULE V.

(See Article 8.)

PART I.

Tariff Item.	Article.	Margin of Preference.
203a	Chemical compounds composed of two or more acids or salts soluble in water, adapted for dyeing or tanning	10 p.c.
203b	Aniline and coal tar dyes, adapted for dyeing, in bulk, or in packages of not less than one pound	10 p.c.
208e	Cresylic acid and compounds of cresylic acid, used in the process of concentrating ores, metals or minerals, n.o.p.	15 p.c.
ex208j	Sal ammoniac	20 p.c.
208m	Sulphate of copper (blue vitriol)	10 p.c.
208o	Cream of tartar in crystals and tartaric acid crystals	10 p.c.
208r	Oxide of tin or of copper	15 p.c.
208s	Sulphate of zinc and chloride of zinc	20 p.c.
208t	All chemicals and drugs, when of a kind not produced in Canada, which were on August 20th, 1932, dutiable at rates of 15, 25, and 25 p.c., under Tariff Item 711	20 p.c.
ex210	Peroxide of soda; bichromate of soda; nitrate of soda or cubic nitre, n.o.p.; sulphide of sodium; nitrite of soda; arseniate, binarseniate, chlorate, bisulphite and stannate of soda; prussiate of soda and sulphite of soda	15 p.c.
212	Sulphate of alumina or alum cake; and alum in bulk, ground or unground, but not calcined	15 p.c.
215	Stearic acid, n.o.p.	17½ p.c.

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Tariff Item.	Article.	Margin of Preference.
216	Acids, n.o.p., of a kind not produced in Canada -	20 p.c.
ex219	(ii) Solutions of hydrogen peroxide containing 25 per centum or more by weight of hydrogen peroxide - - - - -	20 p.c.
219d	Sulphuric ether; chloroform, n.o.p.; preparations of vinyl ether for anaesthetic purposes - -	20 p.c.
240	Ultramarine blue, dry or in pulp; whitening or whitening; Paris white and gilders' whitening; blanc fixé; satin white - - - - -	10 p.c.
242	Dry red lead; orange mineral; antimony oxide, titanium oxide, and zinc oxide such as zinc white and lithopone; white pigments containing not less than 14 per cent. by weight of titanium dioxide - - - - -	15 p.c.
246b	Stains and oxides, valued at not less than 20 cents per pound, for use exclusively as colouring constituents in the manufacture of vitreous enamels and pottery glazes; and liquid gold paint, for use exclusively in the manufacture of tableware of china, porcelain or semi-porcelain - -	20 p.c.
ex247 } 247a }	Artists' and school children's colours; fitted boxes containing the same; artists' brushes; pastels, of a value of one cent per stick, or over; artists' canvas, coated and prepared for oil painting -	25 p.c.
264	Essential oils, n.o.p., including bay oil, otto of limes, and peppermint oil - - - - -	7½ p.c.
276b	Cotton seed and crude cotton seed oil, when imported by manufacturers of cotton seed meal and refined cotton seed oil, for use exclusively in the manufacture of such commodities, in their own factories - - - - -	10 p.c.
277	Palm and palm kernel oil, unbleached or bleached, not edible; shea butter - - - - -	10 p.c.
278	Oils, viz.:—cocoanut, palm and palm kernel, not edible, for manufacturing soap; carbolic or heavy oil - - - - -	10 p.c.
278b	Crude peanut oil, for refining for edible purposes, used as materials in Canadian manufactures -	10 p.c.
287	All tableware of china, porcelain, semi-porcelain, or white granite, but not to include tea-pots, jugs, and similar articles of the type commonly known as earthenware - - - - -	35 p.c.
300	Crucibles of clay, sand or plumbago - - - - -	15 p.c.
318	Common and colourless window glass - - - - -	15 p.c.
319	Glass, in sheets, and bent plate glass, n.o.p. - -	25 p.c.
320	Plate glass, not bevelled, in sheets or panes not exceeding seven square feet each, n.o.p. - -	20 p.c.
321	Plate glass, not bevelled, in sheets or panes, exceeding seven square feet each, and not exceeding twenty-five square feet each, n.o.p. - - - -	20 p.c.
339a	Lead capsules for bottles - - - - -	25 p.c.
ex353	Aluminum and alloys thereof, viz.:—angles, channels, beams, tees and other rolled, extruded or drawn sections or shapes; pipes and tubes -	25 p.c.

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Tariff Item.	Article.	Margin of Preference.
370	Copper rollers, and stones, used in the printing of textile fabrics or wallpaper - - - - -	10 p.c.
407	Silent chain and finished roller chain, of iron or steel, and complete parts thereof, of a class or kind not made in Canada, n.o.p., either chain of the type which operates over gears or sprockets with machine-cut teeth - - - - -	20 p.c.
409p	Pasteurizers for dairying purposes and complete parts thereof - - - - -	15 p.c.
410a	Face loading machines, shaker trough or belt trough conveyors, air engines, flame proof enclosed driving motors, of a class or kind not made in Canada, and integral parts of all motive power or machinery mentioned in this item, for use exclusively at the face in mining operations -	10 p.c.
410b	Machinery and apparatus for use exclusively in washing or dry cleaning coal at coal mines or coke plants; machinery and apparatus for use exclusively in producing coke and gas; machinery and apparatus for use exclusively in the distillation or recovery of products from coal tar or gas; and complete parts of all the foregoing, not to include motive power, tanks for gas, nor pipes and valves 10½ inches or less in diameter -	10 p.c.
410n	Diamond drills and core drills, not including motive power, electrically operated rotary coal drills, and coal cutting machines, n.o.p., and integral parts of the foregoing, for use exclusively in mining operations - - - - -	10 p.c.
412b	Flat bed cylinder printing presses, to print sheets of a size 25 by 38 inches or larger, and complete parts thereof; machines designed to fold or sheet feed paper or cardboard, and complete parts thereof - - - - -	10 p.c.
412d	Offset presses; lithographic presses, printing presses and typemaking accessories therefor, n.o.p.; complete parts of the foregoing, not to include saws, knives and motive power - - - - -	10 p.c.
413	Machinery and apparatus, of a class or kind not made in Canada, and parts thereof, specially constructed for preparing, manufacturing, testing or finishing yarns, cordage, and fabrics made from textile fibres or from paper, imported for use exclusively by manufacturers and scholastic or charitable institutions in such processes only	5 p.c.
ex427 ex446a et al.)	Motion picture projectors, arc lamps for motion picture work, motion picture or theatrical spot lights, light effect machines, motion picture screens, portable motion picture projectors complete with sound equipment; complete parts of all the foregoing, not to include electric light bulbs, tubes, or exciter lamps - - - - -	15 p.c. 25 p.c.
427b	Ball and roller bearings - - - - -	25 p.c.
428e	Diesel and semi-diesel engines, and complete parts thereof, n.o.p. - - - - -	25 p.c.

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Tariff Item.	Article.	Margin of Preference.
428f	Air-cooled internal combustion engines of not greater than 1½ h.p. rating, and complete parts thereof	20 p.c.
ex429	Cutlery of iron or steel, plated or not :— (c) Penknives, jack knives and pocket knives of all kinds	25 p.c.
438g	Motor cycles or side cars therefor, and complete parts of the foregoing	20 p.c.
440j	Trawls, trawling spoons, fly hooks, sinkers, swivels, sportsmen's fishing reels, bait, hooks, and fishing tackle, n.o.p.	25 p.c.
440l	Aircraft and complete parts thereof, not including engines, under regulations prescribed by the Minister	17½ p.c.
ex445k	Electrical instruments and apparatus of precision, of a class or kind not made in Canada, viz. :— Meters or gauges for indicating and/or recording altitude, amperes, comparisons, capacity, density, depth, distance, electrolysis, flux, force, frequency, humidity, inductance, liquid levels, ohms, operation, power factor, pressure, space, speed, stress, synchronism, temperature, time, volts, volume, watts; complete parts thereof	15 p.c.
445l	Electric storage batteries, composed of plates measuring not less than eleven inches by fourteen inches and not less than three-quarters inch in thickness; complete parts thereof	25 p.c.
446	Electric steam turbo generator sets, 700 h.p. and greater, of a class or kind not made in Canada, and complete parts thereof	20 p.c.
ex476	Dental instruments of any material; surgical needles; X-ray apparatus; microscopes valued at not less than \$50 each, by retail; and complete parts of all the foregoing	10 p.c.
522f	Yarns and warps, wholly of cotton, number forty and finer, when imported by manufacturers of mercerized cotton yarns, for use exclusively in the manufacture of mercerized cotton yarns, in their own factories	15 p.c.
523c	Woven fabrics, wholly of cotton, composed of yarns of counts of 100 or more, including all such fabrics in which the average of the count of warp and weft yarns is 100 or more	27½ p.c.
523f	Woven fabrics of cotton, not coloured, when imported by manufacturers of typewriter ribbon for use exclusively in the manufacture of such ribbon in their own factories	12½ p.c.
537b	Linen thread, for hand or machine sewing	22½ p.c.
ex540	(a) Woven fabrics, in the web, wholly of flax or hemp, not to include towelling and glass cloth of crash or huck, with or without lettering or monograms woven in, nor table cloths and napkins of crash with coloured borders	30 p.c.

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Tariff Item.	Article.	Margin of Preference.
ex540	(b) Articles wholly of flax or hemp, such as sheets, pillow cases, table cloths and napkins, towels and handkerchiefs, but not to include towels or glass cloths of crash or huck, with or without lettering or monograms woven in, nor table cloths and napkins of crash with coloured borders - - - - -	30 p.c.
541a	Woven fabrics, wholly of jute, n.o.p. - - - - -	22½ p.c.
551c	Yarns and warps composed wholly of hair, or of hair and any vegetable fibre, imported by manufacturers for use in their own factories - - - and, per pound	12½ p.c. 15 cts.
553a	Stereotypers' and typecasters' blankets or blanketing and press blankets or blanketing used for printing presses, of a class or kind not made in Canada - - - - -	5 p.c.
558e	Yarns and warps, wholly of thrown silk in the gum, rovings, yarns and warps, wholly of spun silk, not coloured, imported by manufacturers for use exclusively in their own factories for knitting underwear, for weaving, or for the manufacture of silk thread - - - - -	7½ p.c. 50 cts.
586	Coal, anthracite, n.o.p. - - - - - per ton	50 cts.
598a	Brass band instruments, of a class or kind not made in Canada; bagpipes and complete parts - - -	25 p.c.
605	Leather produced from East India tanned kip, uncoloured or coloured other than black, when imported for use exclusively in lining boots and shoes; genuine reptile leathers - - - - -	15 p.c.
605a	Genuine pig leathers and genuine Morocco leathers; so-called roller leathers - - - - -	25 p.c.
689	Charcoal, animal, for use in the refining of sugar -	25 p.c.

SCHEDULE V.

(See Article 8.)

PART II.

Tariff Item.	Article.	Margin of Preference.
ex377a et al. ex378	Wrought iron in the form of billets, bars, rods, sheets, strips, plates or skelp - - - - - Bars and rods, of iron or steel; billets, of iron or steel, weighing less than 60 pounds per lineal yard :— (d) Hot rolled, valued at not less than 4 cents per pound, n.o.p. - - - - -	20 p.c. 12½ p.c.

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Tariff Item.	Article.	Margin of Preference.
ex379	Bars or rods, of iron or steel, including billets weighing less than 60 pounds per lineal yard, hot rolled, as hereunder defined, under regulations prescribed by the Minister :— (f) Sash or casement sections of iron or steel, hot or cold rolled, not punched, drilled nor further manufactured, when imported by manufacturers of metal window frames, for use in their own factories - per ton	\$7.00.
ex380	Plates of iron or steel, hot or cold rolled :— (b) More than 66 inches in width, n.o.p. per ton	\$6.00.
ex381	Sheets, of iron or steel, hot or cold rolled :— (a) .080 inch or less in thickness, n.o.p. -	12½ p.c.
ex383	Sheets, plates, hoop, band or strip, of iron or steel :— (a) Coated with tin, of a class or kind not made in Canada, n.o.p. - - - - (b) Coated with tin, n.o.p. - - - - (c) Coated with zinc, n.o.p. - - - -	15 p.c. 20 p.c. 12½ p.c.
385a	Sheets, plates, hoop, band or strip, of rust, acid or heat resisting steels, hot or cold rolled, polished or not, valued at not less than five cents per pound -	20 p.c.
ex386	Sheets, plates, hoop, band or strip, of iron or steel, as hereunder defined, under regulations prescribed by the Minister :— (a) Plates, when imported by manufacturers for use exclusively in the manufacture or repair of the pressure parts of boilers, pulp digesters, steam accumulators and vessels for the refining of oil, in their own factories - - - per ton (k) Sheets, hot or cold rolled, when imported by manufacturers of hollow-ware coated with vitreous enamel or of apparatus designed for cooking or for heating buildings, for use exclusively in the manufacture of hollow-ware coated with vitreous enamel or of vitreous enamelled sheets for apparatus designed for cooking or for heating buildings - - - (m) (i) Sheets of iron or steel, cold rolled, when imported by manufacturers for use exclusively in the manufacture of sheets coated with tin - - - - (ii) Sheets, hoop, band or strip, of iron or steel, hot rolled, when imported by manufacturers for use exclusively in the manufacture of sheets, hoop, band or strip, coated with zinc or other metal or metals, not including tin, in their own factories - - - -	\$5.00. 10 p.c. 15 p.c. 15 p.c.

A.D. 1937.

1st SCH.
—cont.

Tariff Item.	Article.	Margin of Preference.
ex386	Sheets, plates, hoop, &c.— <i>cont.</i> (g) Hoop steel, hot or cold rolled, plain or coated, .064 inch or less in thickness, not more than three inches in width, when imported by manufacturers of barrels or kegs or by manufacturers of flat hoops for barrels and kegs, for use exclusively in their own factories - - - -	12½ p.c.
387c	Steel grooved (or girder) rails for electric tramway use, weighing not less than 75 pounds per lineal yard, punched, drilled, or not, of shapes and lengths not made in Canada - - per ton	\$7.00.
388	Iron or steel angles, beams, channels, columns, girders, joints, tees, zees and other shapes or sections, not punched, drilled or further manufactured than hot rolled, weighing not less than 35 pounds per lineal yard, n.o.p.; piling of iron or steel, not punched or drilled, weighing not less than 35 pounds per lineal yard, including interlocking sections, if any, used therewith, n.o.p. per ton	\$3.00.
ex392 } 392a }	Forgings of iron or steel, in any degree of manufacture, hollow, machined or not, not less than 12 inches in internal diameter; and all other forgings, solid or otherwise, in any degree of manufacture, of a weight of 20 tons or over -	20 p.c.
393	Tires, of steel, in the rough, not drilled or machined in any manner, for railway vehicles, including locomotives and tenders - - - -	10 p.c.
ex394	Axles and axle bars, n.o.p., and axle blanks, and parts thereof, of iron or steel :— (a) For railway vehicles, including locomotives and tenders - - - -	17½ p.c.
ex397b } 398a }	Pipes and tubes of iron or steel, seamless, cold drawn, plain ends, polished, valued at not less than five cents per pound; steel tubes, welded or seamless, more than 10½ inches in diameter, with plain ends, when imported for use exclusively in the manufacture or repair of rolls for paper-making machinery - - - -	15 p.c.
ex401	Wire, of iron or steel :— (a) Barbed fencing, coated or not - - - (b) Twisted, braided or stranded, including wire rope or cable, coated or not, n.o.p.	10 p.c. 10 p.c.
ex403	Wire, of steel :— (c) Valued at not less than 2½ cents per pound, when imported by manufacturers of wire rope for use exclusively in the manufacture of wire rope, in their own factories, under regulations prescribed by the Minister - - - -	5 p.c.

A.D. 1937.

SCHEDULE VI.

1st SON.
—cont.

(See Article 15.)

- (1) The Bahamas, Barbados, Bermuda, British Guiana, British Honduras, Jamaica (including the Turks and Caicos Islands and the Cayman Islands), the Leeward Islands, Trinidad and Tobago, the Windward Islands, Fiji, the Federated and Unfederated Malay States, Mauritius and Northern Rhodesia.

Article.

Margin of Preference.

Rubber boots and shoes and canvas boots and shoes, rubber-soled.	1s. per pair (or the equivalent in the local currency), that is to say, the General Rate to be the Preferential <i>ad valorem</i> rate, if any, plus 1s. per pair specific duty.
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- (2) All the Colonies and Protectorates, except Bermuda (so long as the importation of motor vehicles is prohibited), Northern Rhodesia, and Trinidad, mentioned in (1) above, and also Ceylon, Hong Kong, Malta and the Straits Settlements.

Motor vehicles - 20% *ad valorem*.

- (3) All the Colonies and Protectorates mentioned in (2) above except the Straits Settlements and Hong Kong.

Parts of motor vehicles including rubber tyres. 20% *ad valorem*.

- (4) All the Colonies and protectorates mentioned in (1) above except Fiji, the Federated and Unfederated Malay States, Mauritius and Northern Rhodesia.

Hosiery of cotton or artificial silk. 6d. per pair, that is to say, the General Rate to be the Preferential *ad valorem* rate, if any, plus 6d. per pair specific duty.

Hosiery of silk - 9d. per pair, that is to say, the General Rate to be the Preferential *ad valorem* rate, if any, plus 9d. per pair specific duty.

Butter - - - 1½d. per lb.

- (5) The Bahamas.

The preferential drawback of 25 per cent. of certain Customs duties to be increased to 50 per cent. of those Customs duties.

Article.	Margin of Preference.	A.D. 1937.
(6) Barbados, Bermuda, and Trinidad.		1st Sch. —cont.
Electrical appliances and apparatus.	15% <i>ad valorem</i> .	
Bacon and ham	- ½d. per lb.	
(7) Barbados, British Guiana, the Leeward Islands (Antigua only) and Trinidad.		
The tariff treatment of pitch pine to be assimilated to that of other wood and timber and a margin of preference of not less than ten shillings per 1,000 feet to be established.		
(8) Barbados, Jamaica, and Trinidad.		
Condensed milk	- 10% <i>ad valorem</i> (or the equivalent specific rate).	
Shooks	- 10% <i>ad valorem</i> .	
(9) Barbados and British Honduras.		
Potatoes and onions	2s. per 100 lbs.	
(10) Barbados.		
Oats	- 9d. per 100 lbs.	
(11) Bermuda, Jamaica (including the Turks and Caicos Islands, and the Cayman Islands), the Leeward Islands and the Windward Islands.		
Hardware	- 10% <i>ad valorem</i> .	
(12) Bermuda.		
Eggs	- 2d. per dozen.	
Canned meat	- 10% <i>ad valorem</i> .	
Canned fruit and canned vegetables.	15% <i>ad valorem</i> .	
Furniture	- 10% <i>ad valorem</i> .	
(13) Jamaica.		
Apparel of all kinds (other than hosiery).	10% <i>ad valorem</i> .	
Wood and timber	- 10% <i>ad valorem</i> .	
(14) Ceylon.		
Bacon and ham	- 10% <i>ad valorem</i> .	
Canned fruit and vegetables.	15% <i>ad valorem</i> .	
Canned fish	- 15% <i>ad valorem</i> .	
(15) Cyprus.		
Butter, cheese, tinned fish, and timber.	One-third of the duty in lieu of one-sixth.	

A.D. 1937.	Article.	Margin of Preference.
1st SCH. —cont.	(16) The Federated and Unfederated Malay States.	
	Condensed milk -	10% <i>ad valorem</i> .
	Printing and wrapping paper.	10% <i>ad valorem</i> .
	Canned fruit and canned vegetables.	15% <i>ad valorem</i> .
	Canned fish -	15% <i>ad valorem</i> .
	Electric batteries for use in motor cars.	15% <i>ad valorem</i> .
	Confectionery -	10% <i>ad valorem</i> .
	(17) Fiji.	
	Timber, dressed and undressed.	2s. per 100 super. feet.
	(18) Malta.	
	Wheat flour - -	2s. per 100 kilog.
	(19) Mauritius.	
	Bacon and ham -	5 rupees per 100 kilog.
	Cheese - - -	10% <i>ad valorem</i> .
	Canned fish - -	15% <i>ad valorem</i> .
	Electric stoves and household appliances.	15% <i>ad valorem</i> .
	(20) Northern Rhodesia.	
	Electrical batteries and accumulators.	15% <i>ad valorem</i> .
	Boxes, wooden, empty, or in shooks.	10% <i>ad valorem</i> .
	Wood, unmanufactured, including ceiling and flooring boards.	10% <i>ad valorem</i> .
	Newsprint paper; wrapping paper; unspecified plain or composite paper.	10% <i>ad valorem</i> .
	Motor trucks, &c., as specified in Tariff Items 130 (a) and (b).	10% <i>ad valorem</i> .

Article.	Margin of Preference.	A.D. 1937.
(20) Northern Rhodesia— <i>cont.</i>		1st Sch. — <i>cont.</i>
Motor cars, chassis and rubber pneumatic tyres and tubes of Canadian origin.	To be admitted at the same rates as those of United Kingdom origin under Tariff Items 129 (a) and (c) and 260.	
(21) Sarawak.		
Condensed milk	- 10% <i>ad valorem</i> .	

SCHEDULE VII.

(See Article 15.)

No. of Canadian Tariff Item.	Article.	Margin of Preference.
ex39a	Sago and tapioca flour - - per pound	½ ct.
77b	Vanilla beans, crude only - - -	10 p.c.
ex87	(n) Tomatoes - - - per pound	2 cts.
143	Cigars - - - per pound	50 cts.
ex254	Gums, viz.:—copal, damar, gum chicle or sappato gum, crude - - -	10 p.c.
264	Essential oils, n.o.p., including bay oil, otto of limes and peppermint oil - - -	7½ p.c.
267b	Petroleum tops; blends of petroleum tops or petroleum products with crude petroleum; all the foregoing ·7249 specific gravity (63·7 A.P.I.) or heavier, at 60 degrees Fahrenheit, when imported by oil refiners to be refined in their own factories - - - per gallon	1 ct. 10 p.c.
ex273	Asphalt or asphaltum, solid - - -	10 p.c.
277	Palm and palm kernel oil, unbleached or bleached, not edible; shea butter - - -	10 p.c.
278	Oils, viz.:—cocoanut, palm and palm kernel, not edible, for manufacturing soap; carbolic or heavy oil - - -	10 p.c.
278c	Cocoanut oil, not edible, when imported for use in the manufacture of refined cocoanut oil - - -	10 p.c.
616a	Balata, crude, unmanufactured - - -	10 p.c.
616b	Gutta percha, unmanufactured - - -	10 p.c.

In item 106 (b), Fruits, Pineapples, British Preferential rate not to exceed 1 cent per pound.

A.D. 1937.

LETTER No. 1.

1st SCH.
—cont.LETTER FROM CANADIAN SIGNATORY ON THE
SUBJECT OF ZINC.

Ottawa,
February 23, 1937.

SIR,

With reference to Article 16 of the Trade Agreement signed this day, I have the honour to inform you that the Canadian Government, having taken note of the statements of the United Kingdom Government in the course of the recent discussions (1) that it is essential to the national security that the production of the zinc smelting industry in the United Kingdom should be maintained at a satisfactory level; (2) that at any enquiry into the question of the effects of imports of zinc from oversea Empire countries on the maintenance of the production of zinc in the United Kingdom at a satisfactory level having regard to the needs of national security, the Canadian zinc producers would have the opportunity of submitting evidence, and (3) that the Government of the United Kingdom would consult the Canadian Government before taking any decision to impose a customs duty on imports of Canadian zinc into the United Kingdom; agree that it will be open to the United Kingdom Government, after such enquiry and after consultation with the Canadian Government, and notwithstanding the provisions of Article 1 of the Trade Agreement, to impose a customs duty on imports of zinc produced or manufactured in Canada, without prejudice however, to the provisions of Article 3 of the Agreement.

It is understood that no customs duty will be imposed on Canadian zinc which is not equally applicable to zinc from other oversea Empire sources.

I have, etc.,

W. L. MACKENZIE KING.

LETTER No. 2.

A.D. 1937.

LETTER FROM CANADIAN SIGNATORY ON THE SUBJECT OF
HOME CONSUMPTION DRAWBACKS.

1ST SCH.
—cont.

Ottawa,
February 20, 1937.

SIR,

During the negotiations in London last summer, representations were made by the United Kingdom authorities to the effect that in certain cases tariff preferences accorded the United Kingdom by Canada had been rendered less effective than had been expected by reason of the drawbacks of duty for home consumption authorized by Schedule B to the Customs Tariff. At that time the Minister of Finance promised, on behalf of the Canadian Government, that fuller consideration would be given to the proposal of the United Kingdom that the preferential principle of tariff treatment be applied to the Drawback Schedule.

Since the return of the Canadian delegation, the competent Departments of the Canadian Government have been studying United Kingdom proposals, and such examination as has been made to date of the operation of Schedule B justifies the position taken in London by the Minister of Finance: that to apply suddenly a preferential scheme to the entire existing Schedule might, in many instances, work hardship upon Canadian consumers without necessarily ensuring any added advantage to United Kingdom interests.

Close examination of the existing Schedule reveals that frequently the home consumption drawback applies to raw materials imported for use in the manufacture of non-protected finished products, and in such instances the effect of abolishing or even restricting the full privilege of drawback might easily be disastrous to the industry concerned. There is the further fact that several of the items in the Schedule appear to have become inoperative (in so far as may be judged by the absence of claims thereunder), and such items are now the subject of review by the Canadian Government with a view to their possible cancellation. There is also to be borne in mind the fact that, under the last two or three Budgets, an effort has been made not merely to afford margins of preference by way of drawbacks, but actually to confine the operation of certain new drawback items to importations under the British Preferential Tariff.

The provision for home consumption drawbacks in the Canadian tariff is not one which this Government desires to see extended; on the contrary, were it feasible to do so immediately

A.D. 1937. and at one stroke, the Government would prefer to dispense with the granting of such drawbacks, the administration of which is always costly and frequently difficult. To that end, as indicated, the Canadian Government already contemplates reducing the Schedule; and in this connection—and toward the same objective—it will undertake to give prompt and sympathetic consideration to any requests that may from time to time be put forward by the Government of the United Kingdom regarding the continuance or the operation of any particular item in the Schedule.

—
1st SCH.
—cont.

I have, etc.,

W. L. MACKENZIE KING.

Section 5.

SECOND SCHEDULE.

AMENDMENTS OF GAME LICENCES ACT, 1860.
(23 & 24 VICT. c. 90.)

- Section two - For the words "servant for whom he shall be chargeable to the duty of assessed taxes" there shall be substituted the words "male servant employed by him".
- Section seven - For the words "and being charged or liable to be charged to the assessed tax on servants in respect of any gamekeeper by whomsoever deputed or appointed and" there shall be substituted the words "employing any male servant as a gamekeeper", and for the words "servant of any other person who shall be duly charged to the assessed tax on servants in respect of such servant, whether as gamekeeper or in any other capacity" there shall be substituted the words "male servant of any other person".
- Section eight - For the words "another servant" there shall be substituted the words "another male servant", and for the words from "person in his service" to "servants as aforesaid" there shall be substituted the words "male person in his service, or in the service of the same master".

THIRD SCHEDULE.

A.D. 1937.

MODIFICATION OF ENACTMENTS RELATING TO SURTAX Section 14
ON UNDISTRIBUTED INCOME OF CERTAIN COMPANIES.

1. Where by virtue of this Act a direction is given under subsection (1) of section twenty-one of the Finance Act, 1922, that the actual income of an investment company from all sources for a year of assessment shall be deemed to be the income of the members—

- (a) the amount to be deducted in assessing and charging surtax under the provisions of the said section in respect of the sum apportioned to any member in consequence of the direction shall be any amount which has been distributed to him by the company in that year of assessment out of the income of the company for that year in such manner that the amount distributed falls to be included in the statement of total income to be made by him for the purposes of surtax;
- (b) paragraph 9 of the First Schedule to the Finance Act, 1922, shall not apply, but the income apportioned to a member of the company, so far as assessable and chargeable to surtax under section twenty-one of the said Act, shall, for the purposes of that tax, be deemed to have been received by him on the last day of that year of assessment;
- (c) subsection (1) of section thirty-two of the Finance Act, 1927, shall apply, in a case where the second company referred to therein is an investment company, as if the amount to be deemed to be the income of the members of that company and to be apportioned among them under that subsection were the excess of the amount apportioned to that company in consequence of the direction over the amount, if any, which has been received in that year of assessment by that company out of the income of the first company for that year in such manner as would, in the case of an individual, render the amount so received liable to be included in the statement of his income for the purposes of surtax. 17 & 18
Geo. 5. c. 10.

2. Subsection (3) of section eighteen of the Finance Act, 1928, shall have effect as if there were inserted—

- (a) in paragraph (a) thereof after the words “year or other period,” where they first occur, the words “or any year of assessment ending within that year or other period,” and where they secondly occur, the words “or any such year of assessment”;

A.D. 1937.

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3RD SCH.
—cont.

- (b) in paragraph (b) thereof after the words "year or period" the words "or any year of assessment ending within that year or period."

3. In this Schedule any reference to a year of assessment shall include a reference to a period which is treated by the Special Commissioners by virtue of this Act as if it were a year of assessment.

Sections 20,
22.

FOURTH SCHEDULE.

ADAPTATIONS OF INCOME TAX PROVISIONS AS TO COMPUTATION OF PROFITS FOR PURPOSE OF NATIONAL DEFENCE CONTRIBUTION.

1. The profits shall be taken to be the actual profits arising in the chargeable accounting period; and the principles of computing profits by reference to any other period and, save as provided in the next following paragraph, of allowing losses sustained in any other period to be carried forward, shall not be followed.

2.—(1) Where a person carrying on a trade or business either solely or in partnership has, before the beginning of the first of the relevant accounting periods, sustained a loss (as computed for income tax purposes) in the trade or business, he may claim that so much of that loss shall be carried forward and deducted from or set off against the profits arising from the trade or business in any of the relevant accounting periods as could, under section thirty-three of the Finance Act, 1926, as amended by section nineteen of the Finance Act, 1932, be carried forward and deducted from or set off against the assessable income tax profits of the trade or business for the year of assessment corresponding to that accounting period :

Provided that, in ascertaining the amount (if any) that could be so carried forward and deducted from or set off against assessable income tax profits for a year of assessment corresponding to an accounting period—

- (a) the amount of the assessable income tax profits for that year shall be taken to be equal to the amount of the profits arising in that accounting period (computed in like manner as profits arising in a chargeable accounting period are computed for the purpose of the national defence contribution but before making any deduction for wear and tear under the next following paragraph);

- (b) the amount of the assessable income tax profits for any previous year of assessment corresponding to a previous relevant accounting period shall be taken to be equal to the amount of the profits (computed as aforesaid) arising in that previous accounting period; and
- (c) the amount of the deduction (if any) to be made from the assessable income tax profits under Rule 6 of the Rules applicable to Cases I and II of Schedule D for any year of assessment corresponding to a relevant accounting period shall be taken to be equal to the amount which, under the provisions of sub-paragraph (1) of the next following paragraph, falls to be deducted in computing the amount of the profits arising in that accounting period.

A.D. 1937.

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4TH SCH.
—cont.

(2) Where a person carrying on a trade or business either solely or in partnership has, in any relevant accounting period, sustained a loss in the trade or business (to be computed in like manner as profits arising in a chargeable accounting period are computed for the purpose of the national defence contribution) he may claim that that loss shall be carried forward and, as far as may be, deducted from or set off against the profits arising from the trade or business in the next relevant accounting period and, if and so far as it exceeds the profits so arising in that period, against the profits so arising in the next such period, and so on.

In the application of this sub-paragraph to a loss sustained by a partner in a partnership, references to losses or profits shall be construed as references to that partner's share in those losses or profits.

(3) For the purpose of this paragraph—

- (a) the expression "assessable income tax profits" in relation to any year of assessment means the profits or gains of the trade or business assessable to income tax under Schedule D for that year;
- (b) the expression "relevant accounting period" means any accounting period falling wholly or partly within the five years beginning on the sixth day of April, nineteen hundred and thirty-seven;
- (c) the year of assessment following that in which an accounting period ends shall be deemed to correspond to that accounting period.

3.—(1) There may be deducted in respect of any accounting period a sum (ascertained on the like basis as the amount of a deduction for wear and tear is ascertained under Rule 6 of the Rules applicable to Cases I and II of Schedule D) which represents the diminution in value by reason of wear and tear during that period of any plant or machinery in respect of which a deduction

A.D. 1937. could be made under the said Rule 6, plus ten per cent. of that sum.

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4TH SCH.
—cont.

(2) Without prejudice to the foregoing provisions of this paragraph, there may, in the case of the first chargeable accounting period, be deducted any sum which, under paragraph (3) of the said Rule 6, falls to be added to the amount of the deduction for wear and tear to be made under that Rule in charging the profits or gains of the trade or business to income tax for the year 1937-1938 :

Provided that, if the amount of the deduction falling to be made under this sub-paragraph exceeds the amount of profits arising from the trade or business in the first chargeable accounting period, the excess shall, in lieu of being deducted in that chargeable accounting period, be deducted in the second chargeable accounting period if and in so far as there are profits arising in that period, and so on.

4. The principles of the Income Tax Acts under which deductions are not allowed for interest, annuities or other annual payments payable out of the profits, or for royalties, or (in certain cases) for rent, and under which the annual value of lands, tenements, hereditaments or heritages occupied for the purpose of a trade or business is excluded, and under which a deduction may be allowed in respect of such annual value, shall not be followed :

Provided that nothing in this paragraph shall authorise any deduction in respect of—

- (a) any payment of dividend or distribution of profits ; or
- (b) any interest, annuity or other annual payment paid to any person carrying on the trade or business, or any royalty or rent so paid ;

and, for the purpose of paragraph (b) of this proviso, where the trade or business is carried on by a company the directors whereof have a controlling interest therein, the directors shall be deemed to be carrying on the trade or business.

5. The provisions of subsection (4) of section twenty-seven of the Finance Act, 1920 (which disallows deductions on account of the payment of dominion income tax) shall not apply.

6. Where, in respect of any profits arising from a trade or business, relief from income tax chargeable in the United Kingdom is granted by virtue of arrangements with the Government of any other country, being arrangements which for the time being have effect either—

- (a) under section eighteen of the Finance Act, 1923 (which as amended by section thirty-one of the Finance Act,

1924, and section nine of the Finance Act, 1931, provides for the relief of shipping and air transport from double taxation); or

- (b) under section seventeen of the Finance Act, 1930 (which provides for the relief of certain agencies from double taxation);

those profits shall not be included in the profits arising from that trade or business, if and so long as the profits of trades or businesses which, by virtue of those arrangements, are relieved from income tax chargeable in that other country, are relieved from all taxes chargeable in that other country on the profits of trades or businesses.

7. Income received from investments or other property shall be included in the profits in the cases and to the extent provided in this paragraph, and not otherwise—

- (a) in the case of the business of a building society, or a banking business, assurance business or business consisting wholly or mainly in the dealing in or holding of investments or other property, the profits shall include all income received from investments or other property except—

(i) income received directly or indirectly by way of dividend or distribution of profits from a body corporate carrying on a trade or business to which the section of this Act charging the national defence contribution applies; and

(ii) income to which the persons carrying on the trade or business are not beneficially entitled;

- (b) in the case of any other trade or business, being a trade or business carried on by a body corporate, the profits shall include all income received by way of dividend or distribution of profits from any other body corporate in which the first-mentioned body corporate has a controlling interest and which is not liable to be assessed to the national defence contribution:

Provided that the profits of a body corporate which, either alone or in conjunction with any statutory undertakers, has a controlling interest in any other body corporate, being statutory undertakers, shall not in any case include any income received from that other body corporate.

8. Subject to the provisions of the last foregoing paragraph, the profits shall include all such income arising from the trade or business as is chargeable to income tax under Case I of Schedule D, or would be so chargeable if the profits of the trade or business were chargeable under that Case, except

A.D. 1937.

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4TH SCH.
—cont.

A.D. 1937. income which is, or would be, exempted from income tax by virtue of section thirty-nine of the Income Tax Act, 1918, or section thirty of the Finance Act, 1921.

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4TH SCH.
—cont.

9. No deduction shall be made on account of liability to pay or the payment of United Kingdom income tax or the national defence contribution.

10. No deduction shall be made in respect of any transaction or operation of any nature if and so far as it appears that the transaction or operation has artificially reduced the profits or created or increased a loss or would artificially reduce the profits or create or increase a loss.

11. In the case of a trade or business carried on in any chargeable accounting period by a company the directors whereof have a controlling interest therein, the deduction to be allowed in respect of the remuneration of the directors other than whole-time service directors shall not exceed fifteen per cent. of the profits arising from the trade or business in that period (computed before making any deduction in respect of the remuneration of the directors other than whole-time service directors), or fifteen hundred pounds, whichever is the greater, so, however, that the deduction shall in no case exceed fifteen thousand pounds:

Provided that in relation to a chargeable accounting period of less than twelve months any reference in this paragraph to fifteen hundred pounds or fifteen thousand pounds shall be construed as a reference to a sum which bears the same proportion to fifteen hundred pounds or fifteen thousand pounds, as the case may be, as the length of the period bears to twelve months.

12.—(1) In the case of a trade or business carried on in any chargeable accounting period by an individual or individuals in partnership, he or they may claim that there shall be allowed as a deduction in respect of that period the greatest amount which could have been allowed as a deduction under the last foregoing paragraph in respect of the remuneration of the directors other than whole-time service directors, if the trade or business had been carried on in that period by a company the directors whereof had a controlling interest therein:

Provided that, where a deduction is made under this paragraph as respects any period, the profits arising from the trade or business in that period shall be chargeable to the national defence contribution at the rate applicable in the case of a trade or business carried on by a body corporate.

(2) Any claim under this paragraph shall be made by notice in writing given to the Commissioners of Inland Revenue within one month from the end of the chargeable accounting period in question.

13. For the purpose of this Schedule—

A.D. 1937.

- (a) the expression “ company ” means a company within the meaning of the Companies Act, 1929, or the Companies Act (Northern Ireland), 1932;
- (b) the expression “ director ” has the same meaning as in section one hundred and forty-four of the Companies Act, 1929, except that it includes any person who—
 - (i) is a manager of the company or otherwise concerned in the management of the trade or business; and
 - (ii) is remunerated out of the funds of the trade or business; and
 - (iii) is the beneficial owner of not less than twenty per cent. of the ordinary share capital of the company;
- (c) the expression “ whole-time service director ” means a director who is required to devote substantially the whole of his time to the service of the company in a managerial or technical capacity and is not the beneficial owner of more than five per cent. of the ordinary share capital of the company; and
- (d) the expression “ ordinary share capital ” means all the issued share capital (by whatever name called) of the company, other than capital the holders whereof have a right to a dividend at a fixed rate or a rate fluctuating in accordance with the standard rate of income tax, but have no other right to share in the profits of the company.

4TH SCH.
—cont.

14. Where the performance of a contract extends beyond the chargeable accounting period, there shall (unless the Commissioners of Inland Revenue owing to any special circumstances otherwise direct) be attributed to that period such proportion of the entire profit or loss which has resulted, or which it is estimated will result, from the complete performance of the contract as is properly attributable to that period, having regard to the extent to which the contract was performed in that period.

A.D. 1937.

FIFTH SCHEDULE.

Section 24.

ASSESSMENT AND COLLECTION OF NATIONAL DEFENCE
CONTRIBUTION, APPEALS AND SUPPLEMENTARY
PROVISIONS.

PART I.

ASSESSMENT AND COLLECTION.

1. The national defence contribution payable in respect of any chargeable accounting period shall be assessed on the person carrying on the trade or business in that period.
2. Where two or more persons were carrying on the trade or business jointly in the relevant chargeable accounting period, the assessment shall be made upon them jointly and, in the case of a partnership, may be made in the partnership name, if any.
3. Where by virtue of the foregoing provisions of this Schedule an assessment could, but for his death, be made on any person either solely or jointly with any other person, the assessment may be made on his personal representative either solely or jointly with that other person, as the case may be.
4. Where any person liable to assessment under the foregoing provisions of this Schedule in respect of the profits arising from a trade or business in any chargeable accounting period is not resident in the United Kingdom, an assessment may be made upon any agent, manager or factor resident in the United Kingdom through whom the trade or business was carried on in that period.
5. An assessment (including an additional assessment) may be made at any time within six years from the end of the chargeable accounting period in respect of which the assessment is made, and in the absence of a satisfactory return or other information on which to make an assessment the Commissioners of Inland Revenue may make an assessment according to the best of their judgment.
6. The Commissioners of Inland Revenue may make regulations with respect to the assessment and collection of the national defence contribution and may by those regulations apply and adapt any enactments relating to the assessment and collection of income tax.

PART II.

APPEALS.

A.D. 1937.

5TH SCH.
—cont.

1. Any person who is dissatisfied with an assessment to the national defence contribution may appeal either to the General Commissioners for the division in which he is assessed for the purposes of income tax or to the Special Commissioners.

2. On any appeal under this Part of this Schedule, the General or Special Commissioners shall have power, if they think fit, to summon witnesses and examine them on oath.

3. The provisions of section one hundred and ninety-six of the Income Tax Act, 1918 (which relate to appeals in Northern Ireland from the Special Commissioners to the recorder or the county court judge), shall apply to an appeal to the Special Commissioners in Northern Ireland under this Part of this Schedule.

4. The provisions of section one hundred and forty-nine of the Income Tax Act, 1918 (which relate to the statement of a case on a point of law) shall, with the necessary modifications, apply in the case of any appeal to the General or Special Commissioners under this Part of this Schedule and in the case of any re-hearing of any such appeal in Northern Ireland, as they apply in the case of appeals to the General or Special Commissioners under the said Act.

5. Notwithstanding that an appeal is pending against an assessment to the national defence contribution, such part of the contribution assessed as appears to the Commissioners of Inland Revenue not to be in dispute shall be collected and paid in all respects as if it were a contribution charged by an assessment in respect of which no appeal was pending, and on the determination of the appeal any balance chargeable in accordance with the determination shall be paid, or any amount over-paid shall be repaid, as the case may require.

6. The Commissioners of Inland Revenue may make regulations with respect to the hearing of appeals under this Part of this Schedule, and may by those regulations apply and adapt any enactments relating to the hearing of appeals as to income tax by the Special or General Commissioners which do not otherwise apply.

7. In this Part of this Schedule the expressions " the General Commissioners " and " the Special Commissioners " have respectively the same meanings as in the Income Tax Act, 1918.

A.D. 1937.

5TH SCH.
—cont.

PART III.

SUPPLEMENTARY PROVISIONS.

1. Any surveyor appointed for the purposes of the Income Tax Acts may by notice in writing require any person who carries on or has carried on any trade or business to which the section of this Act charging the national defence contribution applies to deliver to him a return (in such form as the Commissioners of Inland Revenue may prescribe) of the profits arising from the trade or business in any period during which it was carried on by that person and to furnish him with any other particulars relating to the trade or business :

Provided that—

- (a) where any such person as aforesaid is dead, or is a body corporate which is being wound up, the notice may be given to the personal representative of the dead person or liquidator of the body corporate, as the case may be ;
- (b) where the trade or business is or was being carried on by persons in partnership, the notice may be given in the partnership name, if any ;
- (c) where the person who carries on or has carried on the trade or business is not resident in the United Kingdom, the notice may be given to any agent, manager or factor resident in the United Kingdom through whom he is or was carrying on the trade or business.

2. Every person to whom a notice is given under the last foregoing paragraph shall comply with the requirements thereof within one month from the date of the notice :

Provided that, where a notice is given in the partnership name to the persons who are or were carrying on a trade or business in partnership, it shall be the duty of the precedent partner or, where no partner is resident in the United Kingdom, of the agent, manager or factor of the firm resident in the United Kingdom, to comply with the requirements of the notice.

For the purpose of this paragraph, the expression "the precedent partner" has the same meaning as in paragraph (2) of Rule 10 of the rules applicable to Cases I and II of Schedule D in the Income Tax Act, 1918.

3. Where a body corporate is being wound up, the liquidator of the body corporate shall not distribute any of the assets of the body corporate to the members thereof unless he has made provision for the payment in full of any national defence contribution which may be found payable by the body corporate.

4. If any person without reasonable excuse contravenes or fails to comply with any of the foregoing provisions of this Part of this Schedule, he shall be liable on summary conviction to a fine not exceeding five hundred pounds, and, in a case where he fails to comply with the requirements of paragraph 2 of this Part of this Schedule, to a further fine not exceeding fifty pounds for every day on which the failure continues.

5. In a bankruptcy, in the winding-up of a company, and in the event of a receiver being appointed on behalf of the holders of any debentures of a company secured by a floating charge or of possession of any property comprised in or subject to a floating charge being taken by or on behalf of the holders of any debentures of a company secured by that charge, the same priority shall be given to the national defence contribution as is, by the enactments relating to bankruptcy and companies, required to be given to income tax.

6. All Commissioners and other persons employed for any purpose in connection with the assessment or collection of the national defence contribution shall be subject to the same obligations as to secrecy with respect to the contribution as they are subject to with respect to income tax, and any oath taken by any such person as to secrecy with respect to income tax shall be deemed to extend also to secrecy with respect to the national defence contribution.

A.D. 1937.

5TH SCH.
—cont.

SIXTH SCHEDULE.

Section 34.

ENACTMENTS REPEALED.

PART I.

ENACTMENTS RELATING TO INCOME TAX REPEALED AS FROM 6TH APRIL, 1937.

Session and Chapter.	Short Title.	Extent of Repeal.
8 & 9 Geo. 5. c. 40.	The Income Tax Act, 1918.	The proviso to paragraph (2) of Rule 5 of the Rules applicable to Cases I and II of Schedule D.
9 & 10 Geo. 5. c. 32.	The Finance Act, 1919.	Section eighteen.
16 & 17 Geo. 5. c. 22.	The Finance Act, 1926.	In the third column of the Third Schedule the words "(other than the deduction granted by subsection (2) of section eighteen of the Finance Act, 1919)".

A.D. 1937.

PART II.

6TH SEM.
—cont.MISCELLANEOUS ENACTMENTS REPEALED AS FROM
PASSING OF ACT.

Session and Chapter.	Short Title.	Extent of Repeal.
33 & 34 Vict. c. 71.	The National Debt Act, 1870.	Sections fifty-six and fifty-seven.
54 & 55 Vict. c. 39.	The Stamp Act, 1891	Section seventy-four, and in the First Schedule the words and figures "Grant or Warrant of Precedence to take rank among nobility, under the sign manual of Her Majesty - - 100 0 0".
19 & 20 Geo. 5. c. 29.	The Government Annuities Act, 1929.	In subsection (3) of section six the words from "and whenever" to the end of the subsection.
22 & 23 Geo. 5. c. 53.	The Ottawa Agreements Act, 1932.	Section five.

PART III.

ENACTMENTS RELATING TO MALE SERVANT DUTY REPEALED
AS FROM 1ST JANUARY, 1938.

Session and Chapter.	Short Title.	Extent of Repeal.
11 & 12 Vict. c. 29.	The Hares Act, 1848	Section three.
11 & 12 Vict. c. 30.	The Hares (Scotland) Act, 1848.	Section two.
32 & 33 Vict. c. 14.	The Revenue Act, 1869.	In section eighteen the words and figures. "For every male servant - - - 0 15 0" and the words "shall employ the servant or".

Session and Chapter.	Short Title.	Extent of Repeal.
32 & 33 Vict. c. 14— <i>cont.</i>	The Revenue Act, 1869— <i>cont.</i>	In section nineteen, in paragraph (1) the word "servants" and the words "employed or"; in paragraph (2) the word "servants" and the word "employed" in both places in which it occurs; and paragraphs (3), (4) and (5). In section twenty-two, the words "employing any male servant or", the words "The number of male servants employed by him and "in what capacity", the words "male servants or" and the words "to employ any servant or". In section twenty-three, the words "employing a greater "number of male servants "or". In section twenty-seven, the words "employ any male servant, or", the words "shall employ a greater number of male servants or", the words "employ or" and the words "the number of servants employed, or". In section twenty-nine, the words "furnish any servant on hire, or", the word "servant", in the second and fourth places where it occurs, and the words "the name of such servant".
36 & 37 Vict. c. 18.	The Customs and Inland Revenue Act, 1873.	The whole Act.
39 & 40 Vict. c. 16.	The Customs and Inland Revenue Act, 1876.	Section five.

A.D. 1937.

6TH SCH.
—*cont.*

A.D. 1937.

6TH SCH.

—cont.

Session and Chapter.	Short Title.	Extent of Repeal.
51 & 52 Vict. c. 41.	The Local Government Act, 1888.	In the First Schedule the words "Male servants".
8 Edw.7. c.16	The Finance Act, 1908.	In subsection (4) of section six, the words "and male servants".
11 & 12 Geo.5. c. 32.	The Finance Act, 1921.	Section ten.
20 & 21 Geo.5. c. 43.	The Road Traffic Act, 1930.	Section one hundred and eighteen.

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